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Report Highlights:

Brazil's soybean sector continues to perform well, with new records projected for production and exports. However, financial constraints, such as high interest rates, rising production costs, and declining prices, are the main factors limiting sector growth in MY 2026/27. The peanut, palm oil, and cotton sectors are also affected by these economic factors, though producers have responded differently depending on the most suitable strategy for their commodity. Following a revision in area estimates, the peanut sector is projected to see a recovery in total harvested area in MY 2026/27, motivated by international demand. The cotton sector is expected to experience a reduction in area due to higher risks and producers considering corn as a more viable crop. The palm oil sector is projected to continue expanding, driven by recent international investments.

Brazil Oilseeds Sector Overview

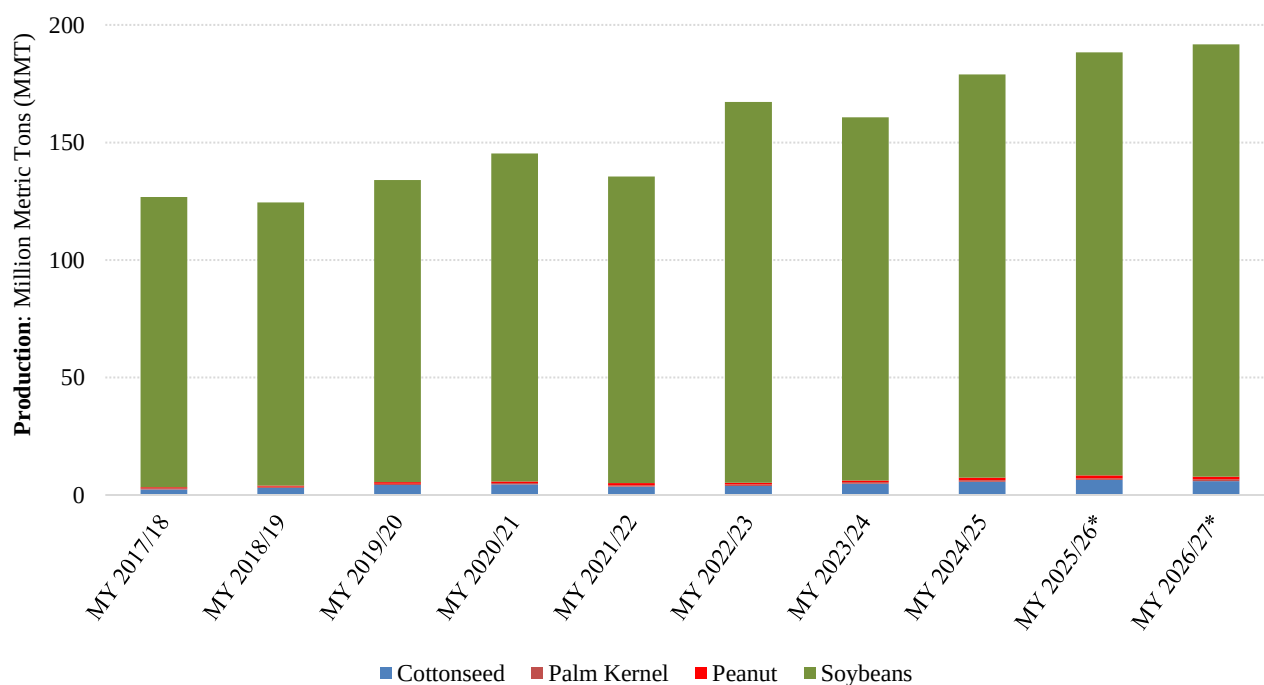
Brazil is a key global oilseed producer, accounting for almost a quarter of total global supply. For the 2026/27 marketing year (MY), Post forecasts that the country will produce approximately 192 million metric tons (MMT) of soybeans, cottonseed, palm kernel and peanuts.

Soybeans are by far the most dominant oilseed, representing over 95 percent of all oilseeds produced in the country. Cottonseed production is a distant second with 3.1 percent of Brazil's total oilseed volume, while peanuts, palm kernel and with other oilseeds, such as sunflowerseed, account for less than one percent of production.

Although relatively small compared to soybeans, the production of these other oilseeds have important socioeconomic impacts in Brazil, particularly at the local and regional levels. Post continues to actively monitor and report on developments related to these other oilseeds, such as in our most recent GAIN report on Brazil's [sunflowerseed](#) and [palm oil](#) sectors.

Figure 1

Evolution of Major Oilseeds Production in Brazil (MY 2017/18 – MY 2026/27)*



Source: USDA Foreign Agricultural Service (FAS). Chart generated by Post Brasilia - Office of Agricultural Affairs (OAA)| Note: Data for the latest MY, marked with (*), considers Post's estimates and forecasts.

Oilseeds and their derived products produced in Brazil serve a range of purposes, which vary according to the stages of production, processing, trade, and consumption. Globally, Brazil is the leading producer and exporter of soybeans, accounting for more than 42 percent of the world's soybean production, ten percent of world cottonseed production, which is almost entirely consumed domestically, nearly two percent of global peanut production and less than one percent of the world's palm oil and sunflowerseed production.

Although peanut production and commercialization in Brazil remain relatively modest on a global scale, the country has ranked among the world's top five exporters of peanuts in recent years. In 2025, Brazil also became the second-largest exporter of peanut oil, with the People's Republic of China (PRC) emerging as a leading destination for both peanuts and peanut oil. Brazil's contribution to global production and trade of palm oil is also low, below one percent. However, the palm oil industry in Brazil is very promising, with the structure and potential to become a leading producer.

Brazil is expected to maintain its position as the oilseed production powerhouse in MY 2026/27 based on its dominance in the global soybean sector, and reasonable expansion of the sunflowerseed, peanut, cottonseed and palm oil sectors.

Across all oilseed crops, the availability of arable land, international demand and the increase in domestic consumption of oil for biofuels and meal for animal feed, are key motivators for producers to invest in the expansion of their respective sectors. However, a decrease in commodity prices, especially for soybeans, along with high interest rates could hold back producers from taking certain risks.

A stronger Brazilian currency can negatively affect commodity prices in the short term, as observed over the past few months. This situation may also discourage producers from investing in the sector. However, the current U.S. currency (USD)/ Brazilian currency (BRL) exchange rate could benefit Brazilian producers by making it more affordable to acquire international technology and inputs. Access to these resources enables growers to continue adopting innovative technologies and maintain high yields.

SOYBEAN SECTOR

Area, Production & Yield

Brazil Is Set to Continue Significant Area Expansion in MY 2026/27, Albeit at a Slower Rate

Post forecasts Brazil's soybean planted area to reach 50.5 million hectares (ha) MY 2026/27. This represents a 2.8 percent increase from the current estimate for MY 2025/26, which is 49.1 million ha.

Although still a significant expansion, further solidifying Brazil as the world's leading soybean-producing country, this growth rate is lower than the average annual expansion over the past five years, estimated at 4.2 percent, potentially indicating a slowdown in soybean area expansion.

This trend reflects the agricultural economic outlook for the 2025/26 season, as high interest rates, elevated production costs, and flattening prices have resulted in lower producer margins. Post contacts report that current incentives and available capital are insufficient to sustain area expansion at the same pace as in previous seasons.

Most of the projected area expansion in MY 2026/27 is expected to occur in the MATOPIBA region, which largely encompasses the Cerrado biome across the states of Maranhão, Tocantins, Piauí, and Bahia. The region has several attributes that support soybean area growth, including the availability of suitable land, comparatively less restrictive environmental regulations, favorable regional demographics, and strategic infrastructure development potential, especially for commodity transportation via roads and waterways.

Mato Grosso is expected to remain the dominant soybean-producing state, but with a more conservative expansion outlook. Some areas may even experience reductions in soybean planted area, as certain producers shift to alternative crops, as already reported for MY 2025/26.

In October 2024, Brazil's Ministry of Agriculture and Livestock (MAPA) released its 10-year agricultural production outlook, including projections for area expansion.

Figure 2

Brazilian Ministry of Agriculture and Livestock Soybeans Planted Area Projection vs. USDA Actuals

	2023/24	2024/25	2025/26	2026/27	2027/28	2028/29	2029/30	2030/31	2031/32	2032/33	Growth Rate
MAPA Projections	46.0	47.1	48.3	49.5	50.7	51.8	53.0	54.1	55.3	56.4	2%
USDA Actuals/Forecast	46.2	47.4	49.1*	50.5 *							3%
Difference	0.1	0.3	0.8*	1.0 *							

Source: Brazilian Ministry of Agriculture and Livestock (MAPA) & USDA Foreign Agricultural Service (FAS) Post Brasilia | Data for the latest two MY of the series marked with (*) considers Post's estimates.

MAPA's estimates indicate an average annual increase of two percent, based on statistical analysis of trends, policies, economic outlooks, regulations, and other agricultural factors. However, over the past three years Brazil has exceeded these estimates, recording an average annual expansion of three percent.

Over the past five seasons, Brazil recorded an average annual area expansion of approximately 4.2 percent. This rate was heavily influenced by the significant expansion observed in MY 2022/23, when soybean production was driven by land availability, favorable commodity prices, lower interest rates, increased international demand, and steady growth in domestic consumption. Together, these factors made Brazil's soybean sector highly attractive to investors.

Although Brazil may still have structural incentives to continue expanding soybean planted area in the coming years, producers are now operating under a different economic scenario, characterized by lower profitability and higher risks. These factors are expected to play a decisive role in producers' area expansion decisions going forward.

Favorable Points Contributing to the Soybean Sector in Brazil

- **Steady demand from the PRC:** Investments by the PRC in Brazilian infrastructure—such as the expansion of COFCO's STS-11 terminal at the Port of Santos, as well as investments aimed at developing specific segments of the soybean value chain—highlight the PRC's desire to maintain Brazil as one of its primary soybean suppliers.
- **Suspension of the Soy Moratorium:** With the suspension of the Soy Moratorium, Brazilian farmers may gain greater autonomy to expand soybean production by accessing new land in frontier areas of the Amazon biome and potentially increasing profitability through greater flexibility in land use. However, any expansion would remain subject to other regulations, including environmental requirements under Brazil's Forest Code and deforestation-free import regulations imposed by buyers such as the European Union (EU). Additional details on the Brazilian Soy Moratorium can be found in the recently posted GAIN reports: [Brazil's Soy Moratorium - Balancing Economic Interests and Regulatory Measures | BR2025-0016](#) and the [Update on Legal Challenges Surrounding the Soy Moratorium in Brazil - Market Risks and International Pressure_Brasilia_Brazil_BR2025-0036](#)
- **Strong purchasing power (USD/BRL exchange rate):** Brazil continues to rely on imported technology for the advancement of its agricultural sector. With an exchange rate favoring the Brazilian real, soybean growers have greater purchasing power when acquiring machinery, equipment, certain fertilizers, and other inputs that compose overall production costs.
- **Broad government incentives (i.e., Plano Safra):** Government incentives such as Brazil's Plano Safra can strongly motivate soybean growers by lowering financial risk and reducing production costs. Plano Safra is Brazil's annual farm credit program that offers subsidized loans, insurance support, and investment financing to producers. The program provides hundreds of

billions of reais in rural credit annually. In 2025, the Government of Brazil made more than R\$594 billion available for agribusiness and family agriculture, making it one of the largest agricultural support programs in the world.

Potential Soybean Sector Constraints in Brazil

- **High interest rates:** Between 2019 and 2022, Brazil recorded an average basic interest rate of 4.43 percent, among the lowest levels in recent history. This favorable credit environment encouraged many producers to invest in the soybean sector through land acquisitions, area expansion, and the purchase of new equipment, contributing to an average annual area expansion of over six percent during the same period. However, with the basic interest rate now at 15 percent, investment in the sector became less attractive and less profitable, discouraging continued expansion.
- **Lower prices:** In addition to rising interest rates, the recent decline in soybean prices has made it more difficult for producers to service debts accumulated in previous years. This environment reduces the attractiveness of soybean production and has led some farmers to evaluate the possibility of switching to alternative crops.
- **Election year:** An election year in Brazil can significantly influence the broader economic environment. Market speculation often begins early, driven by candidate polling, policy proposals, and other political developments that directly affect the agricultural sector. These dynamics influence prices, interest rates, and other key indicators that producers consider before making long-term investment decisions.
- **Weaker USD price index for trade:** A weaker U.S. dollar can materially affect Brazil's soybean sector because soybeans are priced in USD on the CBOT, while producers earn and incur costs in Brazilian reais (BRL). When the dollar weakens, each CBOT dollar converts into fewer reais, reducing farmer revenue and profitability in local currency terms.

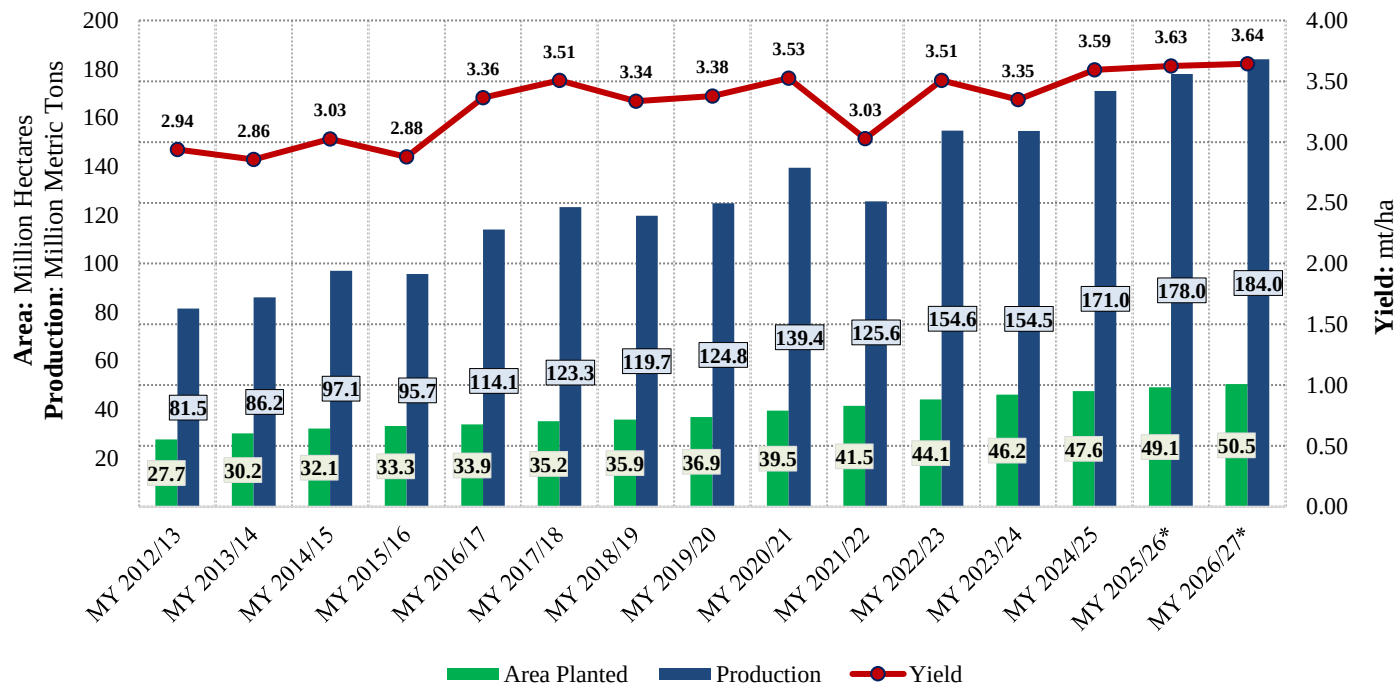
Brazil Projected to Achieve Record Soybean Production for the Third Consecutive Year in MY 2026/27

Although the projected area expansion for MY 2026/27 is expected to be modest compared to the five-year historical average, Brazil continues to make significant progress in cultivation practices. In recent years, the country also invested substantially in technology and research. Such progress is anticipated to lead to improved yields throughout Brazil.

Post forecasts Brazil's national average soybean yield for MY 2026/27 at 3.64 metric tons per hectare (MT/ha). This represents an increase of less than one percent compared to the MY 2025/26 estimate, but nearly six percent above the average yield recorded over the past five years.

Figure 3

Evolution of Soybean Area, Production and Yield in Brazil (MY 2009/10 – MY 2026/27)*



Source: USDA Foreign Agricultural Service (FAS). Chart generated by Post Brasilia - Office of Agricultural Affairs (OAA)| Note: Data for the latest MY, marked with (*), considers Post's estimates and forecasts.

The projected increase in productivity is based on assumptions of normal weather conditions and current policies remaining in place. These factors are expected to support a significant recovery in yields in Rio Grande do Sul and parts of Paraná, two of Brazil's major soybean-producing states that have faced severe weather-related challenges in recent seasons.

Post forecasts production in MY 2026/27 at 184 MMT, setting a record for soybean production in Brazil for the third consecutive year. This volume represents an increase of nearly 3.3 percent from MY 2025/26 estimate of 178 MMT. While the increase is partly driven by projected area expansion, it can also be attributed to improved cultivation practices, such as greater adoption of no-till farming and better resource management, as well as investments in technology and machinery made in prior seasons.

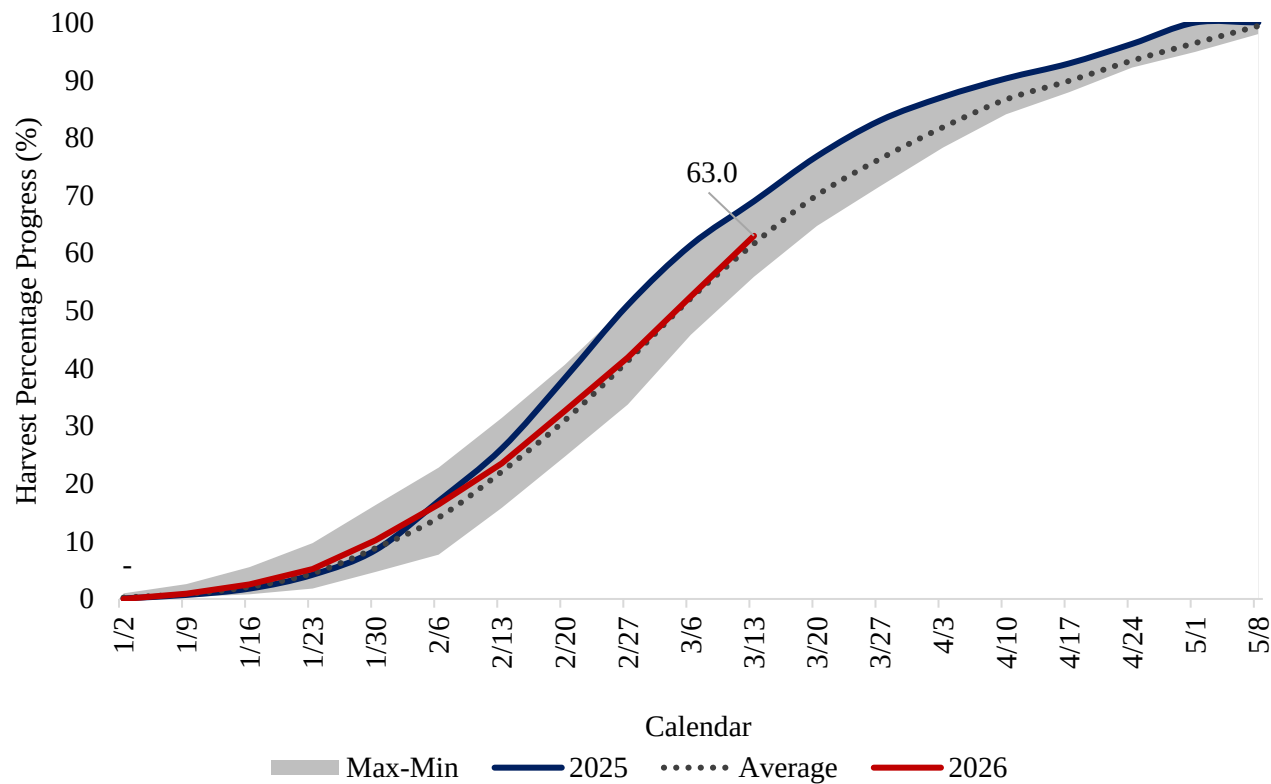
Area, Production & Yield Estimates (MY 2025/26)

Post maintains its estimate for harvested area in MY 2025/26 at 49.1 million ha, up 3.6 percent from the prior season. This expansion in area is the main driver behind another record-breaking production year, with current estimates revised to 178 MMT, just over a one percent increase from the previous estimate. This revision is primarily attributed to improved weather conditions and higher projected productivity in the states of Goiás, Mato Grosso, Minas Gerais, and major producing regions in Paraná. Post estimates a national average yield of 3.62 MT/ha for MY 2025/26.

Harvest Progress & Historical Growth

Harvest progress is currently estimated at 63 percent, with strong advancement reported in major producing regions.

Figure 4
Brazil Soybean Harvest Progress (MY 2025/26)



Source: USDA Foreign Agricultural Service (FAS). Chart generated by Post Brasilia - Office of Agricultural Affairs (OAA)| Note: Data for the latest MY, marked with (*), considers Post’s estimates and forecasts.

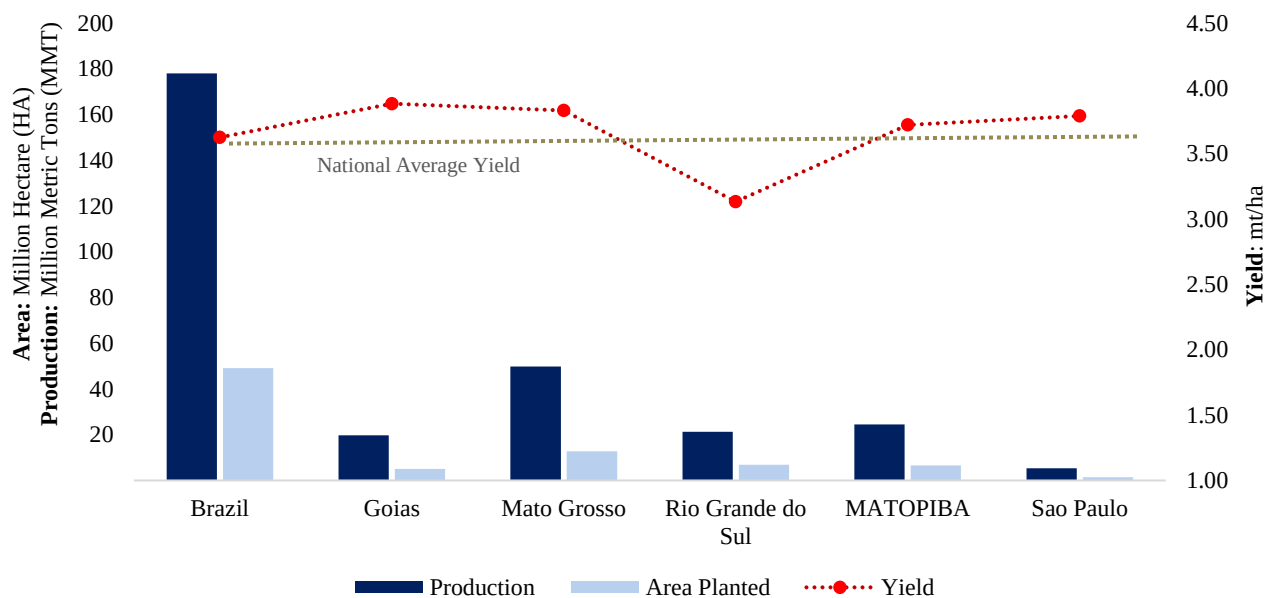
The harvest season officially began in January, with an opening harvest ceremony sponsored by the Brazilian Association of Soybean Growers (Aprosoja), held at Alto da Serra Farm in Porto Nacional, in the state of Tocantins.

Key figures in Brazil’s soybean sector expressed strong optimism for this year’s harvest and highlighted the importance of the sector for Brazil’s economy and global supply.

Currently, Tocantins has nearly 1.7 million HA of soybean planted area, with an additional 3 million HA estimated to be suitable for grain expansion. According to the Agricultural Federation of the State of Tocantins (FAET) data, this could potentially place Tocantins among Brazil’s top five soybean-producing states.

Along with Tocantins, the other states in the MATOPIBA region have also played an essential role in Brazil’s overall soybean area expansion.

Figure 5
National and Regional Average Soybeans Production, Area Planted and Yield Estimates for MY 2025/26



Source: The Brazilian National Supply Company (CONAB) | Chart generated by Post Brasilia - Office of Agricultural Affairs (OAA).

According to data obtained from Brazil’s National Supply Company (CONAB), nearly 42 percent of soybean planted area expansion this season is estimated to have occurred in the MATOPIBA region. Bahia recorded the most significant increase, with total expansion estimated at more than 200 thousand

ha, followed by Tocantins with 130 thousand ha, Maranhão with 90 thousand ha, and Piauí with 55 thousand ha.

Areas in the states of Tocantins and Maranhão lie within the Amazon biome, a region that was subject to the restrictions of the Soy Moratorium, which prohibited the commercialization of soybeans grown on land deforested after 2008.

With the suspension of the Soy Moratorium, these areas may experience greater flexibility in soybean production, potentially resulting in an increase in reported soybean planted area and overall trade.

Major Soybean Producing States Highlights

Up until the beginning of march, soybean producers in Brazil experienced many challenges, due to unfavorable weather conditions. Excess rainfall delayed harvest operations across many key producing regions, as frequent precipitation prevented machinery from entering fields in several areas.

The same rainfall that slowed harvesting benefited crops still in vegetative and grain-filling stages in other regions. In contrast, Rio Grande do Sul faced a lack of rainfall and high temperatures after mid-January, which negatively affected crop development and reduced yield expectations.

Rio Grande do Sul: A draught crisis reported in the state of Rio Grande do Sul heavily impacted crops in the northern region of the state, where the sowing season took place in October. At a stage of the season that rain was essential for the maturity and filling of grains. The lack of rainfall has led to an irreversible situation, with some producers in the state reporting to have already lost 80 percent of their crops.

Mato Grosso: Soybean harvesting maintained steady progress throughout the harvest season, supported by producers' strong operational capacity to take advantage of short weather windows. This efficiency in field operations helped mitigate the impacts of frequent rainfall and accelerated the planting of second-crop crops, particularly corn. So far, grain quality has remained preserved, with no reports of heat-damaged grains above tolerance levels in the main producing regions, ensuring the quality of the harvested product.

Mato Grosso do Sul: In parts of the western and southern regions of the state, high temperatures and low soil moisture reduced yield potential, with significant productivity losses in the most affected areas. These same locations also experienced notable infestations of whiteflies. Overall, most soybean fields remain in reproductive stages and maintain good yield potential, supported by improved weather conditions.

Goiás: Rainfall patterns impacted the state's main soybean-producing regions differently. In the eastern, northern, and western regions, adequate moisture levels supported crops that were in the final grain-filling stage, ensuring strong yield potential. In contrast, the southern region, responsible for

approximately 75 percent of the state's production, experienced persistent rainfall that temporarily disrupted harvest operations and increased field moisture, causing isolated issues with high grain moisture and damaged kernels. However, conditions improved during the second half of the month, as gradually decreasing rainfall allowed harvest activities to accelerate and helped preserve the phytosanitary and commercial quality of the harvested soybeans.

Paraná: Harvesting of the first soybean crop progressed rapidly, driven in part by high temperatures that shortened the crop cycle. Rainfall recorded during the month was crucial for fields in the grain-filling stage, helping maintain plant vigor. Overall, phytosanitary and productivity conditions remain stable, with most fields classified as being in good condition.

Sao Paulo: The current soybean crop has maintained excellent development conditions throughout nearly the entire growing cycle, supported by consistent rainfall. However, the persistence of these rains has extended the crop cycle and delayed harvesting operations, although without negatively affecting crop quality or productivity.

Pará: Soybean planting is completed across the entire state, although it occurred later than in previous years due to delays in the regularization of rainfall in the Santarém and Paragominas production hubs. Despite this delay, crops in these regions were successfully established and are currently showing good development. The most climatically stable area in the state is the southwest region along the BR-163 corridor, which was less affected by dry spells and has achieved average yields above 4,200 kg/ha. By the end of February, the harvest in the early-planting regions progressed rapidly, with harvesting expected to continue until mid-May.

Maranhão: Soybean planting began in October and was completed in the last areas of the western, central, and eastern regions of the state once rainfall became more regular. In some of these regions, replanting was necessary due to irregular rainfall in January 2026. In the Chapadinha and Baixo Parnaíba regions, in the eastern part of the state, these abnormal rainfall patterns reduced the yield potential of some fields, causing nodulation problems, weaker plant structure, and lower plant stands due to water stress. In the southern region, particularly in the Gerais de Balsas area, harvesting began in February but is progressing slowly and later than in the previous year, as many fields are not yet ready for harvest due to irregular rainfall during planting in October and early November 2025. Harvest operations have also faced interruptions from frequent rainfall during this period. Additionally, dry spells during sensitive crop stages, such as flowering and grain filling, may negatively affect yields, which will be assessed in future surveys. By the end of the month, soybean harvesting had reached about 9 percent of the planted area in the state and is expected to continue through June.

Tocantins: Harvesting is progressing in the state, reaching 50 percent of the estimated planted area by the end of February. Yields continue to exceed initial expectations, varying by region and the history of the fields. In some specific regions of the state, producers have reportedly achieved yields above 4,800 kg/ha. The harvested soybeans are of good quality, and fields have received sufficient rainfall to complete the crop cycle.

Piauí: Rainfall in February benefited soybean fields that were in the grain-filling stage. However, frequent rains have delayed harvesting operations due to high grain moisture and wet soil, which make it difficult for machinery to enter the fields.

Bahia: Irrigated soybean harvesting is progressing and is expected to continue until the end of February. Consistent rainfall over the past two months has supported crop development, resulting in good overall performance. Crops are at various growth stages, including flowering, grain filling, maturation, and harvest, which had reached 30 percent of the estimated area by the end of February. So far, yields are considered satisfactory.

Brazil's Economic Outlook

Brazil's economic outlook for 2026/2027 presents a mixed scenario for soybean production. Plano Safra is expected to continue providing subsidized credit and rural support, which may encourage planting and partially offset financial pressures. However, persistently high interest rates raise the cost of financing for seeds, fertilizer, and machinery. At the same time, exchange rate volatility and a potentially weaker U.S. dollar could reduce BRL-denominated export revenues, squeezing farmer margins despite strong global demand.

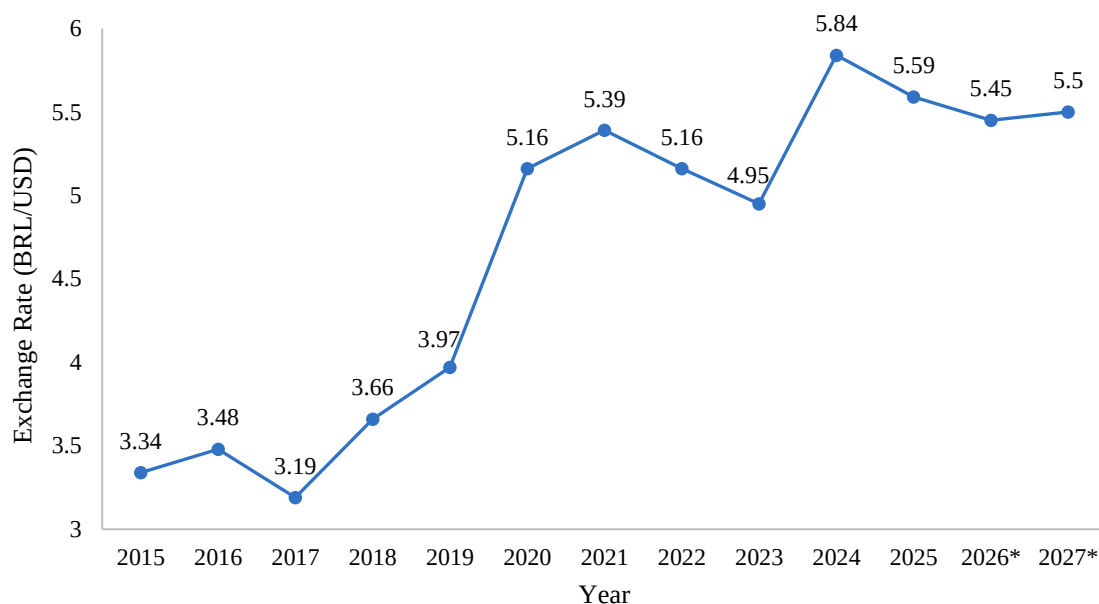
The broader economic environment also affects production, consumption, and export decisions. The Brazilian Central Bank (BCB) estimates the Brazilian Gross Domestic Product (GDP) growth at 1.82 percent in 2026 and 1.80 percent in 2027. The Central Bank's Focus survey anticipates inflation at 3.91 percent in 2026 and 3.80 percent in 2027.

In 2025, Brazil experienced a notable slowdown in GDP growth, with estimated growth at 2.5 percent, the lowest level since 2020.

The Brazilian real continued to strengthen against the U.S. dollar, reflecting a range of economic factors in both Brazil and the United States. Currently at R\$5.24 per US\$1, the exchange rate is forecast at R\$5.45 per US\$1 in 2026, with a small expected increase in 2027 to R\$5.50 per US\$1.

Figure 6

Average Cost of Brazilian Real to U.S. Dollar, (2015 - 2027)*



Source: Brazilian Central Bank | Chart generated by Post Brasilia - Office of Agricultural Affairs (OAA).

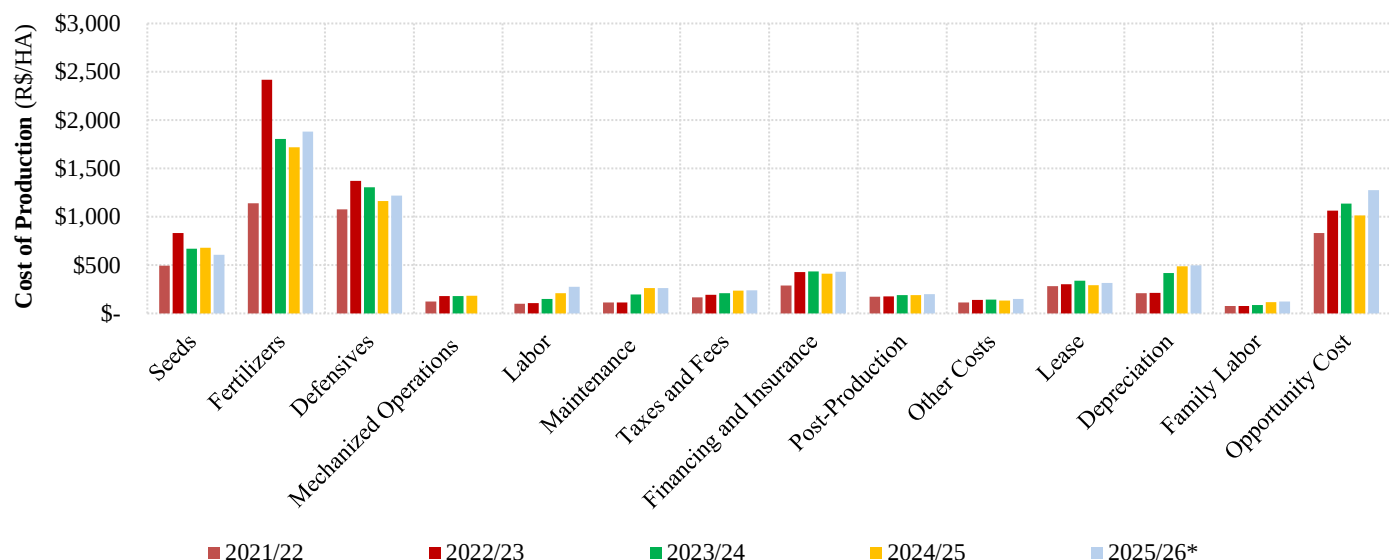
The latest data from Brazil’s Institute of Geography and Statistics (IBGE) show that 5.5 million people were unemployed in the fourth quarter of 2025, representing an unemployment rate of 5.1 percent. However, an additional 2.6 million people stopped looking for work. The total underutilization rate for the third quarter of 2025 was 13.4 percent.

Cost of Production

Brazilian farmers faced rising production costs into the 2025/26 season. Estimates from the Mato Grosso Institute of Agricultural Economics (IMEA) indicate that total soybean production costs per hectare in Mato Grosso increased by about 7.9 percent in MY 2025/26 compared with the previous season, driven by higher spending on fertilizers and labor. Total expenses in MY 2025/26 were estimated at approximately R\$ 7,657.89 per hectare.

Figure 7

Cost of Soybean Production in Mato Grosso (MY 2021/22 – MY 2025/26)*



Marketing Year	2021/22	2022/23	2023/24	2024/25	2025/26*
Seeds	\$ 494.95	\$ 832.67	\$ 668.37	\$ 678.17	\$ 607.19
Fertilizers	\$ 1,141.09	\$ 2,417.29	\$ 1,805.00	\$ 1,719.90	\$ 1,880.83
Defensives	\$ 1,077.84	\$ 1,373.00	\$ 1,304.81	\$ 1,162.57	\$ 1,217.59
Mechanized Operations	\$ 121.97	\$ 179.92	\$ 180.33	\$ 183.22	\$ -
Labor	\$ 100.71	\$ 107.36	\$ 150.46	\$ 208.20	\$ 274.58
Maintenance	\$ 113.73	\$ 114.90	\$ 197.25	\$ 263.25	\$ 262.85
Taxes and Fees	\$ 166.74	\$ 193.27	\$ 207.89	\$ 235.72	\$ 238.35
Financing and Insurance	\$ 287.40	\$ 428.16	\$ 433.25	\$ 410.44	\$ 432.31
Post-Production	\$ 171.44	\$ 177.42	\$ 190.18	\$ 190.34	\$ 200.43
Other Costs	\$ 114.70	\$ 141.39	\$ 143.71	\$ 133.82	\$ 148.47
Lease	\$ 281.79	\$ 301.41	\$ 336.95	\$ 291.50	\$ 314.98
Depreciation	\$ 208.57	\$ 213.32	\$ 417.25	\$ 485.80	\$ 496.79
Family Labor	\$ 76.22	\$ 77.16	\$ 87.51	\$ 118.03	\$ 124.53
Opportunity Cost	\$ 830.77	\$ 1,064.51	\$ 1,137.84	\$ 1,012.28	\$ 1,275.92
Total Cost	\$ 5,187.93	\$ 7,621.78	\$ 7,260.80	\$ 7,093.22	\$ 7,474.82

Source: Instituto Mato-grossense de Economia Agropecuária (IMEA) | Chart elaborated by Post Brasilia - Office of Agricultural Affairs (OAA).

Despite historical fluctuations, Post anticipates that the 2026/27 cycle will show relatively more stable costs compared with the previous year, though overall costs are expected to remain high. The marginal increase is expected to reflect continued pressure from input and financing costs, even as some components moderate, since exchange-rate volatility and tighter credit conditions continue to drive input prices.

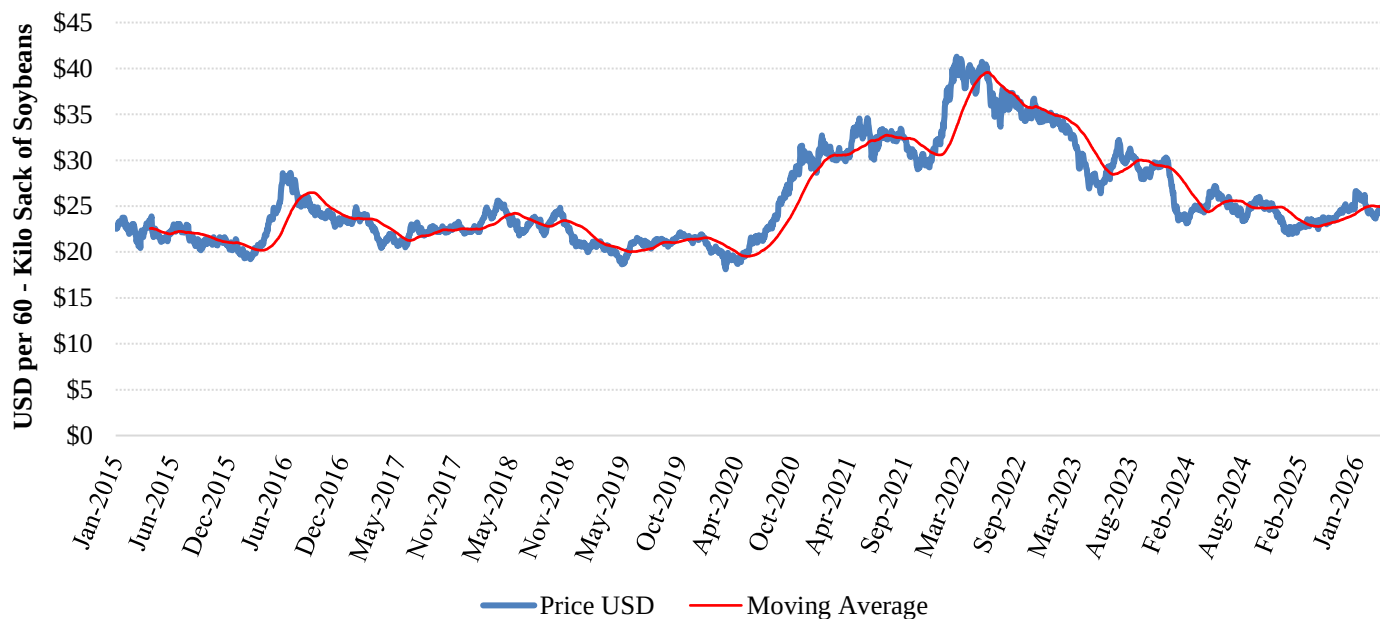
Prices

Growers recently experienced a moderate increase in soybean prices compared with initial figures reported at the start of MY 2025/26. The average Brazilian soybean export price at the Port of Paranaguá was about US\$26.10 per 60-kg sack at the end of 2025.

As of February 2026, Brazilian soybean farm-gate prices declined by 9.5 percent compared with end-2025 levels, dropping to approximately US\$23.60 per 60-kg sack in early February.

The decline was initially influenced by revised estimates indicating record-high production, which increased supply and pressured prices. However, stronger international demand in January and February, particularly from the PRC, helped stabilize prices.

Figure 8
Soybean Prices at the Port of Paranaguá in (2015-2026)



Source: Center for Advanced Studies on Applied Economics (CEPEA) data | Chart elaborated by Post Brasilia - Office of Agricultural Affairs (OAA).

Figure 6 illustrates the dramatic rise in soybean prices at the port of Paranaguá, starting in 2019, followed by a drop to lower levels in the post-pandemic period and finally stabilizing in the last two seasons.

Another factor that could influence soybean prices is the proposed increase in the biodiesel blending mandate from B15 to B16, expected to occur in March 2026. However, implementation may be delayed because the increase requires technical feasibility studies under Brazil's "Fuel of the Future" law (Law 14.993).

Transportation & Infrastructure

Brazil's soybean transportation system faced higher freight costs in 2025 as record production tightened logistics capacity across trucking, rail, barge, and ocean shipping. Truck rates rose about nine percent to US\$8.02 per MT per 100 miles, while inland transport costs increased 2–13 percent, depending on route, particularly from interior hubs such as Rondonópolis and Rio Verde to export ports like Santos and northern river routes via Itaituba.

Ocean freight rates also rose about nine percent due to strong soybean and iron ore shipments. Despite higher logistics costs, total landed costs to China declined slightly because lower farm-gate soybean prices and a weaker Brazilian real during most of 2025 offset freight increases.

Brazil still relies heavily on trucks due to limited rail and waterway capacity. This dependence increases costs, affects product quality, and raises risks of delays. Producers reported difficulties contracting trucks in recent years because of shortages, prompting investment in on-farm storage when possible.

During recent conversations with producers, industry associations and exporters, transportation of soybeans is one of the main concerns for the sector. This is due to the ongoing record production of commodities that would place a strain on available trucks and shipping logistics at the same time, including soybeans, soybean meals, corn, and sugar.

During more profitable seasons, producers invested in expanding farm storage capacity to hold soybeans and ship them when trucks become available, an approach that for many farmers may not be viable anymore.

Brazil made substantial improvements to its infrastructure in recent years. However, it continues to depend heavily on trucks to transport soybeans and other grains to major destinations. This dependence poses challenges and risks to the industry. The potential risk of delivery disruptions has ramifications for landed costs, forward contracts, and on the bottom line for producers.

In order to address this limitation, the Brazilian government, along with the support from international entities from the public and private sectors, have defined some projects that will improve the country's logistics capacity.

Brazil's Major Infrastructure Projects & Policy Frameworks

- **National logistics planning and concessions program:** The Ministry of Transport is rolling out a large concession pipeline for roads and highways, with continued auctions of key federal highway stretches (potentially 10–15 new concessions by 2026). The program aims to improve road capacity, maintenance, and productivity, reducing bottlenecks for heavy truck traffic that carries a large share of soybean freight.
- **Upgrade of key corridors:** Investments are planned or underway on major agricultural freight arteries, including widening segments of BR-163, BR-230 (Trans-Amazonian Highway), BR-050, and others. These improvements aim to enhance connectivity from production areas—especially Mato Grosso and northern regions—to river ports and Atlantic coast ports.
- **Sustainable Infrastructure Program (PSI):** A new R\$21.5 billion initiative to integrate environmental and resilience considerations into road and rail infrastructure projects. The program links agricultural corridors with ports while promoting sustainability and multimodal integration.
- **Center-West Integration Railway (FICO) and East-West Integration Railway (FIOL):** These major rail corridors, under the federal Novo PAC transport infrastructure strategy, will connect central Brazil to ports in the Northeast, increasing rail freight capacity and lowering logistics costs compared with reliance on trucking.
- **Ferrogrão railway:** A longer rail line planned to link central grain-producing regions near Sinop (Mato Grosso) to Amazon basin river ports in the Miritituba area. The project is designed to shift bulk soy and corn transport from roads to rail and waterways, though it faces environmental and legal challenges.
- **Bioceanic railway:** A transcontinental railway concept is under discussion to connect Brazil to Peru, linking the Brazilian Atlantic coast to the Pacific via the new Port of Chancay in Peru. A memorandum signed between Brazil and Chinese partners focuses on feasibility studies and planning for this route, which could shorten export paths to Asia by bypassing traditional Atlantic shipping lanes.
- **Promotion of inland waterways:** The government has emphasized waterway shipping corridors along the Amazon and other interior rivers as cost-effective alternatives for grain exports, increasing cargo volumes and better integrating ports with inland production zones.
- **Port expansion & new facilities:** Significant port investments are underway to expand handling capacity and reduce congestion. Key projects include the STS-11 terminal at the Port of Santos,

where COFCO International secured a 25-year concession, investing about US\$285 million to expand capacity from roughly 3 MMT to 14.5 MMT annually, along with additional investments in locomotives, wagons, and projects such as the Santos–Guarujá tunnel to strengthen soybean export logistics.

- **Targeted access improvements to river terminals:** Projects are currently discussed to build new access roads and infrastructure around critical inland terminals, such as Miritituba and Santarém, to improve grain transshipment where poor road quality previously caused delays.
- **PNL 2050:** The national logistics plan provides a coordinated framework for investments across roads, railways, and ports. It prioritizes multimodal integration to improve efficiency and reduce long-term transportation costs.

Many of these projects remain in the early planning stages and are still awaiting further discussions and feasibility studies. However, with the recent opening of new economic frontiers, such as the advancement of the rare earth mineral sector in Brazil, some projects could be expedited, as logistics improvements have become a top priority for investments.

Domestic Consumption & Processed Products

Post forecasts 62 MMT of soybeans to be processed in MY 2026/27, an increase of 1.6 percent from the MY 2025/26 estimate of 61 MMT. This projected increase is below the 3 percent growth recorded in the previous season and is driven by available soybean supply and rising domestic demand for both soybean oil and meal.

For MY 2026/27, Post forecasts soybean meal production in Brazil to reach 47.4 MMT, up 2 percent from the MY 2025/26 estimate of 46.5 MMT. Domestic soybean meal consumption is expected to rise 3.3 percent, totaling 21.7 MMT, reflecting estimated growth in beef and pork production.

Soybean oil production is forecasted at 12.8 MMT in MY 2026/27, with domestic consumption expected to increase to 11.1 MMT, up 2.7 percent from the MY 2025/26 estimate of 10.8 MMT. The expected rise in oil production and consumption is primarily driven by biodiesel blending mandates. According to the official Brazilian biodiesel blending calendar, Brazil plans to increase the biodiesel blend to B16 by the end of March 2026. However, this increase may face delays due to new technical validation and engine compatibility testing requirements before implementation.

Current legislation mandates gradual annual increases in biodiesel content, targeting a B20 blend by 2030. Without complete tests, regulators and industry stakeholders may postpone implementation to avoid risks to fuel performance, vehicle warranties, and supply logistics.

This gradual increase in blending is reflected in Post’s MY 2026/27 projections, which indicate a lower-than-five-year-average increase in soybean crushing, with a forecasted total of 62 MMT.

Brazil’s Oilseed Crushing Industry Expands in 2025 Stimulated by Strong Biofuel Demand

According to the 2025 survey by the Brazilian Association of Vegetable Oil Industries (ABIOVE) on installed capacity in oilseed crushing, refining, and bottling, the industry experienced strong growth and renewed investment confidence.

Figure 9

Installed Capacity of the Brazilian Vegetable Oil Industry (MT/day)

Macro-Region/State	2024				2025			
	Active	Inactive	Total	Share	Active	Inactive	Total	Share
Center-West	87,390	8,574	95,964	43.80 %	99,681	3,024	102,705	44.40 %
Mato Grosso	42,750	5,024	47,774	21.80%	51,743	2,024	53,767	23.20%
Goiás	29,110	1,000	30,110	13.70%	31,865	0	31,865	13.80%
Mato Grosso do Sul	15,530	2,550	18,080	8.30%	16,073	1,000	17,073	7.40%
Distrito Federal	0	0	0	0.00%	0	0	0	0.00%
South	75,438	1,800	77,238	35.30 %	72,748	5,400	78,148	33.70 %
Paraná	39,388	1,800	41,188	18.80%	33,573	5,400	38,973	16.80%
Rio Grande do Sul	31,750	0	31,750	14.50%	34,875	0	34,875	15.10%
Santa Catarina	4,300	0	4,300	2.00%	4,300	0	4,300	1.90%
Southeast	20,565	3,900	24,465	11.20 %	22,012	3,300	25,312	10.90 %
São Paulo	10,585	3,900	14,485	6.90%	11,640	3,300	14,940	6.50%
Minas Gerais	9,980	0	9,980	4.80%	10,372	0	10,372	4.50%
Rio de Janeiro	0	0	0	0.00%	0	0	0	0.00%
Northeast	13,000	0	13,000	5.90 %	15,395	0	15,395	6.60 %
Bahia	8,150	0	8,150	3.70%	9,745	0	9,745	4.20%
Piauí	3,350	0	3,350	1.50%	3,350	0	3,350	1.40%
Maranhão	1,500	0	1,500	0.70%	2,000	0	2,000	0.90%
Ceará	0	0	0	0.00%	300	0	300	0.10%
Pernambuco	0	0	0	0.00%	0	0	0	0.00%
Alagoas	0	0	0	0.00%	0	0	0	0.00%
Rio Grande do Norte	0	0	0	0.00%	0	0	0	0.00%
North	8,400	0	8,400	3.80 %	10,006	0	10,006	4.30 %
Tocantins	5,000	0	5,000	2.30%	6,506	0	6,506	2.80%
Amazonas	2,000	0	2,000	0.90%	2,000	0	2,000	0.90%
Roraima	1,000	0	1,000	0.50%	1,100	0	1,100	0.50%
Rondônia	400	0	400	0.20%	400	0	400	0.20%
Processing Capacity	204,793	14,274	219,067	100.00 %	219,842	11,724	231,566	100.00 %

Source: The Brazilian Association of Vegetable Oil Industries (ABIOVE) | | Chart elaborated by Post Brasilia - Office of Agricultural Affairs (OAA).

The number of processing companies increased from 67 to 75, active plants rose significantly, and idle capacity declined, bringing industrial activity to 95 percent of total capacity. Brazil now has 219.8 thousand MT per day of active crushing capacity. Regionally, the Center-West strengthened its leadership, particularly in Mato Grosso, while the North and Northeast gained national market share amid agricultural expansion.

This growth is largely driven by rising biodiesel mandates, which increased demand for soybean oil, along with strong soybean meal exports. Overall, the sector is expanding due to robust domestic and export demand, particularly from the biofuel segment.

Trade

Brazil's Soybean Exports Set for Another Record in 2026/27

Post forecasts soybean exports for MY 2026/27 to reach 117.5 MMT, an increase of 3.9 percent compared with the current season, estimated at 113 MMT.

The projected increase is primarily driven by available supply and steady demand from the PRC. However, the recent strengthening of the Brazilian real against the U.S. dollar may moderate export growth compared with previous seasons.

Another factor that could support Brazilian soybean exports is the EU-Mercosur free trade agreement. Although Brazilian soybeans were already tariff-free for EU imports, the agreement may create additional opportunities in other markets. Reduced costs for competing commodities, improved logistics, and the potential increase in other Brazilian soybean-related products could further influence consumption patterns in certain EU countries.

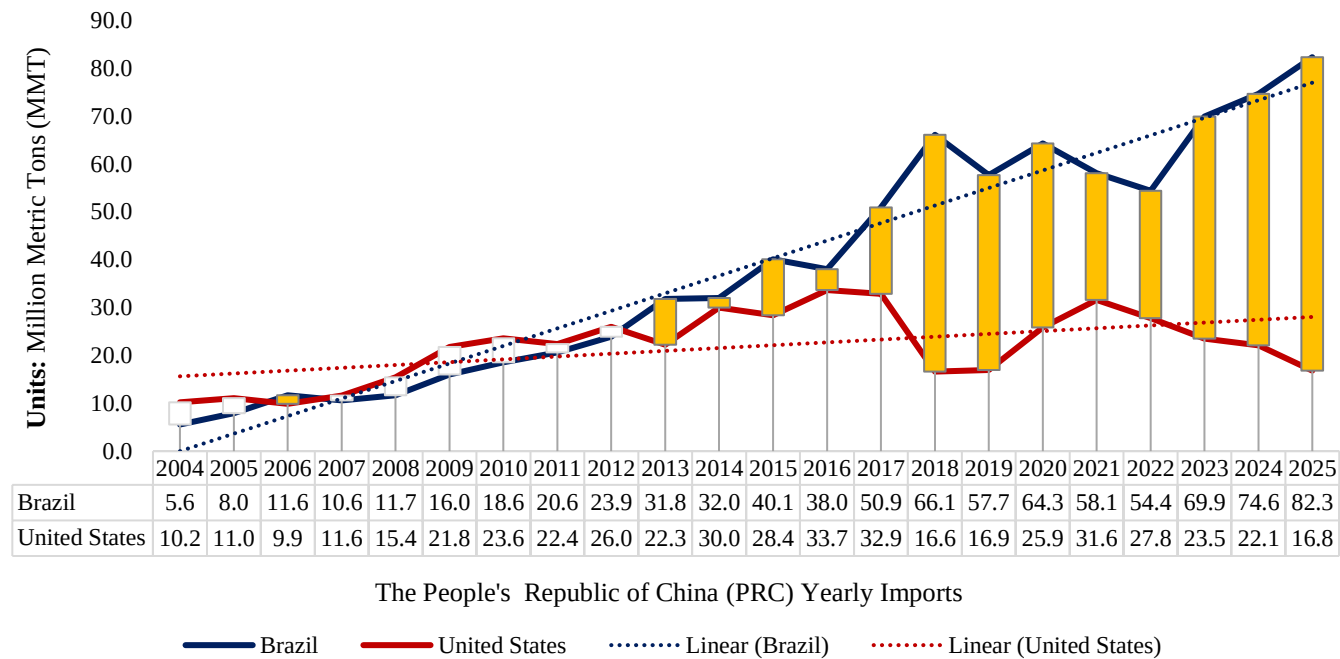
Brazil Soybean Exports to the PRC & Other Destinations

In 2025, Brazil exported a record 108.1 MMT of soybeans, up 9.5 percent from the previous year. Of the total exports, 85.4 MMT, corresponding to 78.9 percent, were destined for the PRC.

Demand from the PRC for Brazilian soybeans increased by nearly 18 percent, further solidifying Brazil as its number one source of soybean imports. This rise in demand can be attributed to several economic and strategic factors, particularly tariff disputes between the PRC and other soybean producers.

Historically, Brazil's market share gains in soybean exports to the PRC are directly correlated with a reduction in U.S. market share of the same commodity.

Figure 10
Brazil vs U.S. Soybean Exports to China (MY 2004/05 – MY 2024/25)



Source: Brazil Ministry of Development, Industry and Trade | Chart elaborated by Post Brasilia Office of Agricultural Affairs (OAA).

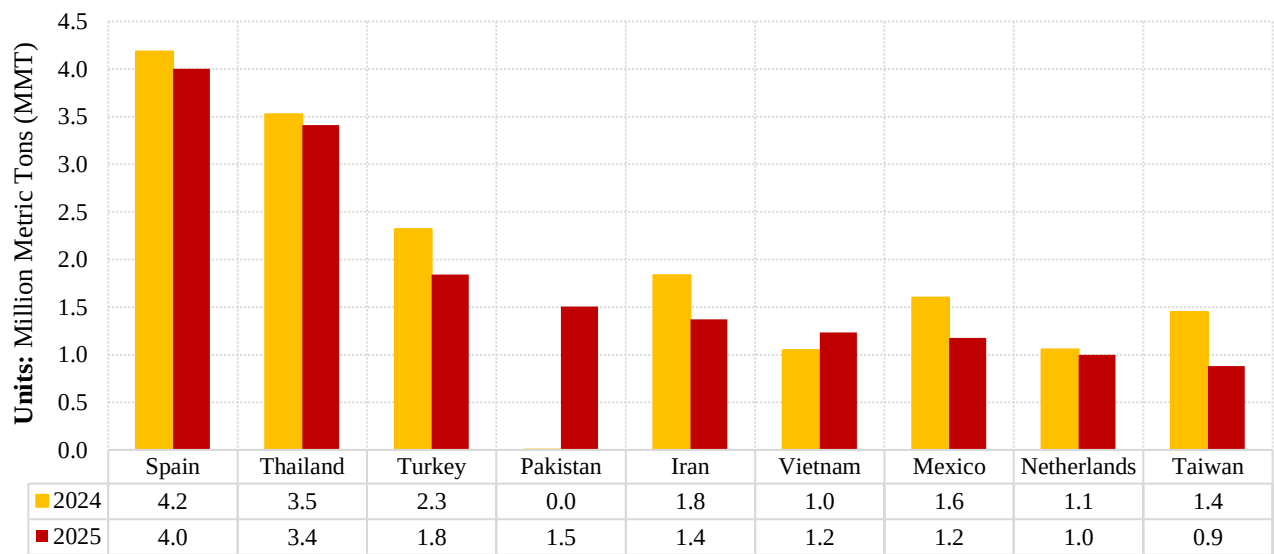
Other significant markets for Brazilian soybean exports include Spain, Thailand, Turkey, Iran, and Pakistan, with Pakistan emerging as a new market in 2022 and significantly increasing its reported imports in 2025 to 1.2 MMT solely from Brazil.

In contrast to the growth seen in trade with the PRC, Brazil lost market share in other countries in 2025, while competitors like the U.S. increased their exports to the same markets compared with 2024 trade data.

This decline in Brazil’s soybean exports to certain markets can largely be attributed to trade agreements between other countries, as well as seasonal demand fluctuations and price opportunities.

According to Post contacts, the country is expected to intensify trade negotiations in MY 2026/27 to regain market share in strategic regions. Overreliance on the Chinese market is already a concern, as even small future changes in the PRC’s consumption levels and overall demand could significantly impact Brazil’s export performance.

Figure 11
Brazil Exports to Other Markets (2024-2025 Comparison)



Source: Brazil Ministry of Development, Industry and Trade | Chart elaborated by Post Brasilia Office of Agricultural Affairs (OAA).

Soybean Oil Exports

For MY 2026/27, Post forecasts Brazil’s soybean oil exports at 1.7 MMT, up 6.2 percent from the current season’s estimate of 1.6 MMT.

With the anticipated record-high harvest, the large supply of soybeans, soybean meal, and soybean oil may put downward pressure on domestic prices, particularly starting in March when physical availability increases and the planned increase in the biodiesel blend to B16 remains uncertain. A recovery in demand from India, along with the potential opening of new markets, is expected to help sustain prices and support export growth.

In 2025, Brazil exported a total of 1.3 MMT of soybean oil, maintaining levels similar to those in 2024. During that period, the country experienced a significant decline in exports to India, which remained the main destination for Brazilian soybean oil and accounted for 68 percent of total exports in this segment.

Soybean Meal Exports

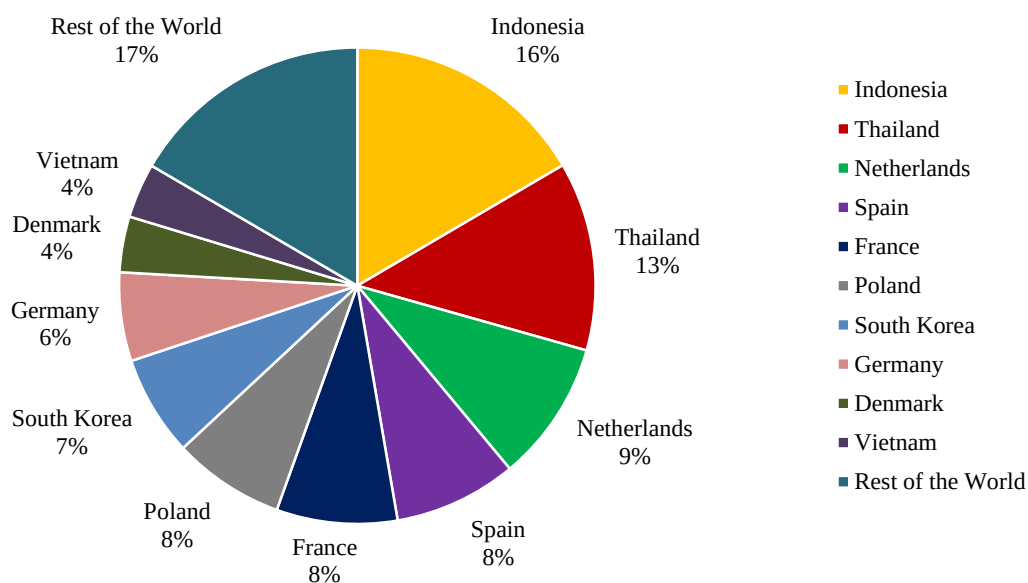
Post forecasts Brazil's soybean meal exports at 25 MMT in MY 2026/27, up two percent from current season estimates of 24.5 MMT. This level of exports reflects relatively steady year-over-year growth, driven primarily by demand from the E.U., which could be further supported by new trade ties under the E.U.-Mercosur free trade agreement.

Availability of supply and exchange rate dynamics are additional factors that make it important for Brazil to identify and consolidate new export markets to prevent sharper price declines.

In 2025, Brazil exported a total of 23.2 MMT of soybean meal, just 100 thousand MT more than the previous season, with the main destinations being Indonesia, Thailand, France, Netherlands, and Poland, demonstrating solid and consistent demand across these markets.

Figure 12

Brazilian Soybean Meal Exports Destinations (2025)



Source: Brazil Ministry of Development, Industry and Trade | Chart elaborated by Post Brasilia Office of Agricultural Affairs (OAA).

Soybean Imports to Decline in 2026/27

Post forecasts soybean imports to remain relatively low in MY 2026/27, totaling 400 thousand MT, a 20 percent reduction compared to the current year's estimate of 500 thousand MT. The decline is attributed to a projected recovery in yields in Rio Grande do Sul and the overall increase in domestic soybean supply.

Between 2024 and 2025, Brazil experienced a significant increase in soybean imports, reaching 820.9 thousand MT in 2024 and 968.5 thousand MT in 2025.

Brazil generally imports only small volumes of soybeans despite being the world's largest exporter, primarily due to regional logistics and market factors. In some cases, it is more cost-effective for crushers in southern Brazil to import beans from neighboring Mercosur countries, such as Uruguay and Paraguay, rather than transport soybeans from the Center-West, especially when domestic freight costs are high or local production is reduced due to weather.

Imports may also occur when processors require specific quality characteristics or when currency and price dynamics make foreign soybeans temporarily competitive.

In 2024 and 2025, productivity in southern Brazil, particularly in Rio Grande do Sul, was low due to unstable weather conditions. The reduced productivity made it more viable for processors in the region to import soybeans from Uruguay and Paraguay, considering stock availability, prices, and transportation costs.

Soybean Stocks

Post forecasts that ending stocks for soybeans, soybean oil, and soybean meal will remain relatively low in the 2026/27 marketing season, with only small increases reflecting the projected higher levels of production. The MY 2025/26 ending stock estimates are: 7.5 MMT for soybeans, 524 thousand MT for soybean oil, and 5.5 MMT for soybean meal.

The low stock levels are primarily driven by strong international demand, reduced production in other soybean-producing countries, and the anticipated increase in domestic utilization due to the biodiesel blending mandate.

Oilseed, Soybean (Local)	2024/2025		2025/2026		2026/2027
Market Year Begins	Jan 2025		Jan 2026		Jan 2027
Brazil	USDA Official	New Post	USDA Official	New Post	New Post
Area Planted (1000 HA)	47400	47400	49400	49100	50500
Area Harvested (1000 HA)	47400	47400	49400	49100	50500
Beginning Stocks (1000 MT)	4837	4837	7014	7014	7214
Production (1000 MT)	171500	171500	180000	178000	184000
MY Imports (1000 MT)	969	969	350	500	400
Total Supply (1000 MT)	177306	177306	187364	185514	191614
MY Exports (1000 MT)	108192	108192	114000	113000	117500
Crush (1000 MT)	58000	58000	61000	61000	62000
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	4100	4100	4300	4300	4600
Total Dom. Cons. (1000 MT)	62100	62100	65300	65300	66600
Ending Stocks (1000 MT)	7014	7014	8064	7214	7514
Total Distribution (1000 MT)	177306	177306	187364	185514	191614
Yield (MT/HA)	3.6181	3.6181	3.6437	3.6253	3.6436
(1000 HA) ,(1000 MT) ,(MT/HA)					
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query					

Oil, Soybean (Local)	2024/2025		2025/2026		2026/2027
Market Year Begins	Jan 2025		Jan 2026		Jan 2027
Brazil	USDA Official	New Post	USDA Official	New Post	New Post
Crush (1000 MT)	58000	58000	61000	61000	62000
Extr. Rate, 999.9999 (PERCENT)	0.2039	0.2039	0.2039	0.2016	0.2065
Beginning Stocks (1000 MT)	476	476	634	634	524
Production (1000 MT)	11826	11826	12438	12300	12800
MY Imports (1000 MT)	105	105	25	90	100
Total Supply (1000 MT)	12407	12407	13097	13024	13424
MY Exports (1000 MT)	1363	1363	1600	1600	1700
Industrial Dom. Cons. (1000 MT)	6400	6400	6900	6800	7000
Food Use Dom. Cons. (1000 MT)	4010	4010	4050	4100	4150
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0
Total Dom. Cons. (1000 MT)	10410	10410	10950	10900	11150
Ending Stocks (1000 MT)	634	634	547	524	574
Total Distribution (1000 MT)	12407	12407	13097	13024	13424
(1000 MT) ,(PERCENT)					
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query					

Meal, Soybean (Local)	2024/2025		2025/2026		2026/2027
Market Year Begins	Jan 2025		Jan 2026		Jan 2027
Brazil	USDA Official	New Post	USDA Official	New Post	New Post
Crush (1000 MT)	58000	58000	61000	61000	62000
Extr. Rate, 999.9999 (PERCENT)	0.7632	0.7759	0.772	0.7623	0.7645
Beginning Stocks (1000 MT)	2903	2903	3601	4630	5131
Production (1000 MT)	44266	45000	47092	46500	47400
MY Imports (1000 MT)	5	0	10	1	0
Total Supply (1000 MT)	47174	47903	50703	51131	52531
MY Exports (1000 MT)	23273	23273	25500	24500	25000
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	20300	20000	21300	21500	22000
Total Dom. Cons. (1000 MT)	20300	20000	21300	21500	22000
Ending Stocks (1000 MT)	3601	4630	3903	5131	5531
Total Distribution (1000 MT)	47174	47903	50703	51131	52531
(1000 MT) ,(PERCENT)					
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PEANUT SECTOR

Area, Production & Yield

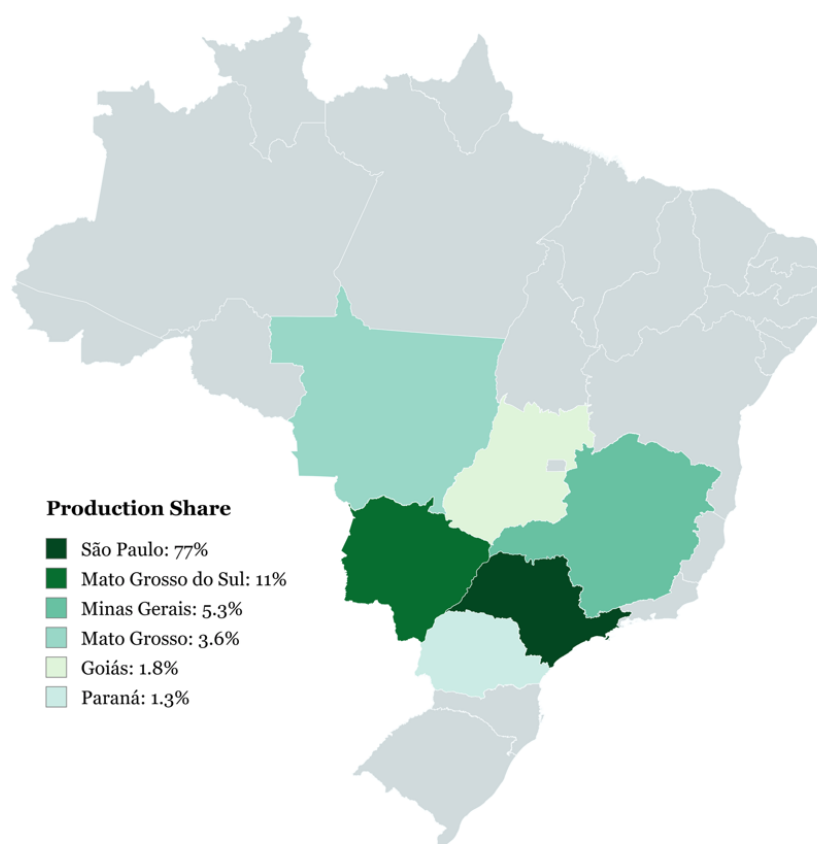
For MY 2026/27, Post forecasts Brazil's total peanut planted area to reach 270 thousand HA, a 3.8 percent increase from the revised estimate for MY 2025/26, currently at 260 thousand HA.

In addition to the conversion of degraded pastureland to peanut production, soybean yields in some sandy soil regions tend to be lower. As a result, producers in these areas have reportedly shown increased interest in adapting their operations to cultivate peanuts, a crop that is better suited to these soil conditions.

The expansion in peanut planted area during the 2026/27 season is expected to occur primarily in the state of Mato Grosso do Sul, as well as in smaller regions of Mato Grosso, Minas Gerais, Paraná, and Goiás, and in the western region of São Paulo state, which accounts for over 77 percent of national production.

Figure 13

National Peanut Production Share per Producing State in Brazil

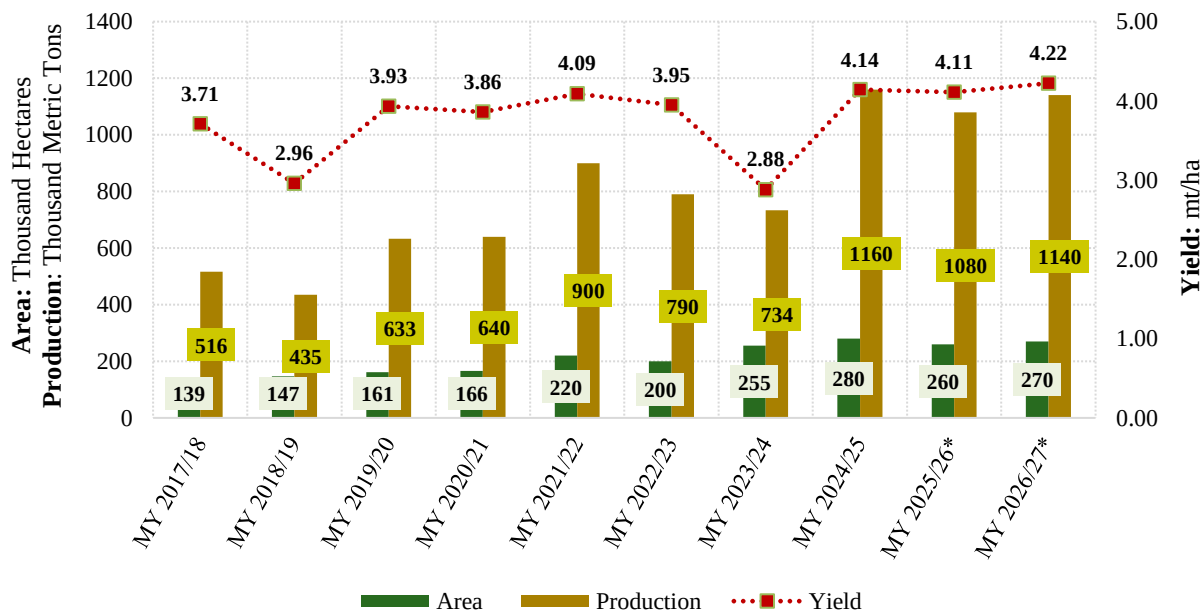


Source: Brazilian Peanut Exporters Association (AbexBr) | Chart generated by Post Brasilia - Office of Agricultural Affairs (OAA),

The decline in prices reported in 2025 across many commodities, including peanuts, may influence future investment decisions in the sector and limit the growth of peanut production in Brazil. However, current geopolitical developments and international economic disputes are anticipated to increase demand for Brazilian peanuts and their byproducts, potentially supporting higher domestic prices and making the sector more attractive for investment.

Post forecasts MY 2026/27 national average peanut yields in Brazil to reach 4.2 MT/HA, a slight increase of 1.6 percent compared to the current season’s estimate. This would result in total production of 1.1 MMT, an increase of 5.5 percent from the current season, largely driven by the projected expansion in planted area.

Figure 14
Evolution of Peanut Harvested Area, Production and Yield in Brazil (MY 2017/18 – MY 2025/26)*



Source: USDA Foreign Agricultural Service (FAS). Chart generated by Post Brasilia - Office of Agricultural Affairs (OAA)| Note: Data for the latest MY, marked with (*), considers Post’s estimates and forecasts.

To mitigate rising production costs and avoid lower profitability, some producers may reduce the use of fertilizers, pesticides, and other inputs, which could potentially impact overall productivity. However, Brazil has long been one of the most productive countries in peanut production. Combined with adequate weather conditions, the sector has adopted innovative production methods and increased the

use of genetically improved seeds and precision agriculture, which are expected to help sustain strong average yields in the coming years.

In January 2026, the Brazilian Agricultural Research Corporation (Embrapa) launched an updated technical guide aimed at strengthening peanut production in Brazil. The publication provides practical recommendations for the entire production chain, including planting practices, soil and climate requirements, seed selection, pest and disease management, harvesting, post-harvest handling, and commercialization.

The program was developed to help producers improve planning, productivity, and profitability while addressing key challenges in the industry. It is also expected to support further research in the sector and help Brazil sustain strong productivity levels.

MY 2025/26 revised estimates display a significant reduction in peanut planted area percentage

Post revises downward its MY 2025/26 peanut planted area estimate to 260 thousand HA, as the decline in peanut prices reported in 2025, driven by record global production, combined with rising production costs, has directly impacted producers' planting decisions. As a result, many producers significantly reduced peanut planted area in MY 2025/26 and shifted to other crops, such as sugarcane and soybeans, depending on the region.

In general, there is a discrepancy in the planted area reported by the main entities analyzing the peanut sector in Brazil. According to representatives from these organizations, the differences can be attributed to the methodologies used in conducting surveys and the difficulty of obtaining up-to-date data. Peanut production in Brazil is highly fragmented, with over 70 percent of total planted area distributed among smaller farms of up to 600 hectares, which complicates data collection.

During MY 2024/25, reported planted area by these major entities ranged between 280 thousand and 350 thousand HA. A similar discrepancy was observed in the estimated reduction in planted area for MY 2025/26, with projections ranging from 10 to 35 percent.

Post recently conducted a more detailed market analysis involving consultations with public and private stakeholders, including government agencies, producer associations, cooperatives, producers, market analysts, and companies involved in the commercialization of peanut byproducts.

Based on this analysis, Post now estimates 260 thousand HA of peanut planted area for MY 2025/26, while MY 2024/25 figures remain unchanged.

The reduction in planted area allowed producers to intensify their focus on crop management and productivity. As a result, national average yields are currently projected to reach 4.1 MT/HA, helping offset the decline in planted area.

Harvest is reported to be over 70 percent complete in most producing regions, with total production expected to surpass 1 MMT, maintaining relatively stable production levels supported by steady domestic consumption and continued international demand for Brazilian peanuts and their byproducts.

Domestic Consumption & Processed Products

Post forecasts Brazil's peanut domestic consumption to remain at moderate levels compared to other major peanut-producing countries, such as the United States and the PRC, reaching 114 thousand MT in 2027, nearly two percent higher than the consumption projected for the current season, estimated at 112 thousand MT.

Brazil's domestic peanut consumption is relatively small compared to production and is largely concentrated in food processing, including confectionery, snacks, and oil extraction. According to the Brazilian Institute of Geography and Statistics (IBGE), peanut consumption in Brazil averages 0.8 kilograms per person per year, while in the United States consumption is approximately 6.5 kilograms per person annually.

In recent years, growth in domestic peanut consumption in Brazil was driven primarily by rising demand from the dietary, health, and chocolate industries, as highlighted by the Brazilian Association of the Chocolate, Peanut, and Candy Industry (ABICAB). However, other nuts, such as pistachios, have gained greater market presence in Brazil, directly competing with peanuts and contributing to a diversification of overall nut consumption.

Peanut Crush in Brazil Anticipated to Increase Supported by Peanut Oil Demand

Nearly 50 percent of the peanuts produced in Brazil are destined for crushing, primarily for oil production.

Post forecasts peanut crush to reach 555 thousand MT in MY 2026/27, resulting in approximately 205 thousand MT of peanut oil production, an increase of 2.5 percent from the current season's estimate. This growth is mainly supported by strong international demand for Brazilian peanut oil, which has led to increased investment in the sector, particularly in the state of Mato Grosso do Sul, including the expansion of processing capacity and the establishment of new crushing facilities.

Domestic consumption of peanut oil is expected to remain stable at approximately 17 thousand MT in MY 2026/27.

Post anticipates the forecasted crush level in MY 2026/27 to result in the production of over 235 thousand MT of peanut meal, with nearly 98 percent projected for domestic consumption.

Peanut meal consumption increased, driven by demand from the livestock sector and the availability of supplies, as rising feed costs from inflation lead producers to turn to alternative protein sources such as peanut meal and cottonseed meal.

Peanut meal has proven to be a viable option for reducing feed costs. This contributed to negotiations between Brazil and the PRC, which resulted in the opening of the Chinese market for Brazilian peanut meal in 2025.

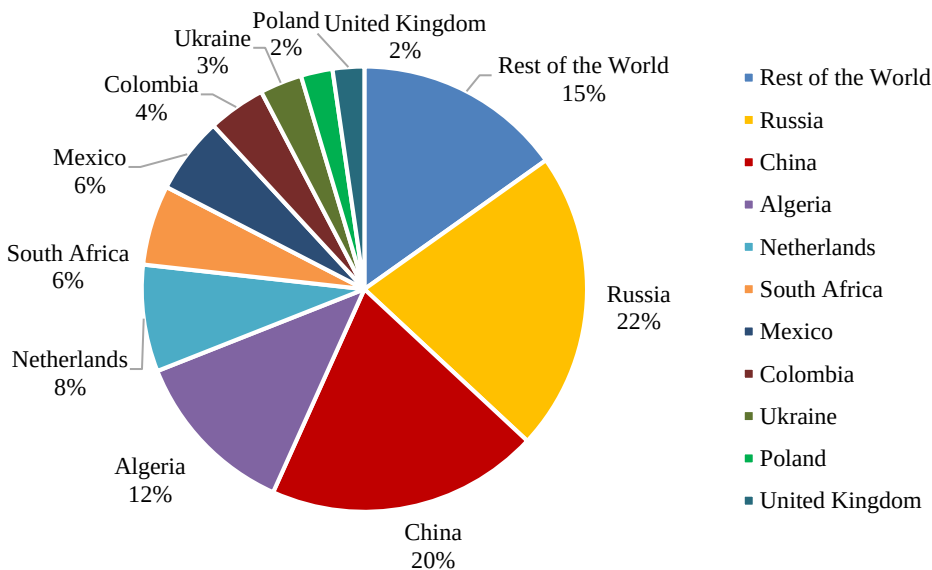
Overall, Brazil’s peanut processing sector is expected to continue expanding, supported by stable domestic demand, growing processing capacity, and strong international demand for peanut products. The industry’s growth is also supported by initiatives focused on quality control, sustainability, and technological advancement.

Trade

Shelled Peanut Exports

Post forecasts Brazil’s peanut exports to reach 460 thousand MT in MY 2026/27, reflecting continued steady growth driven by strong international demand. This growth is partly the result of ongoing global economic disputes, which have prompted major importing countries, such as the PRC, to strategically diversify their import sources, including peanuts.

Figure 15
Brazilian Peanut Exports Destinations (2025)



Source: Brazil Ministry of Development, Industry and Trade | Chart elaborated by Post Brasilia Office of Agricultural Affairs (OAA).

In 2025, Brazil exported 414 thousand MT of peanuts, a 37 percent increase compared to the previous year. The PRC emerged as one of the main destinations, alongside Russia and Algeria, which together accounted for more than 53 percent of Brazil's total peanut exports for the season.

Historically, the PRC was not a major importer of Brazilian peanuts. However, recent trends mirror those seen in soybean trade, with Brazil emerging as a key alternative supplier and directly competing with the United States in the Chinese market.

Overall, the PRC significantly reduced its total peanut imports in 2025, and alongside the United States, Senegal, and Sudan, two other long-standing trade partners, lost substantial market share in peanut exports to the PRC. At the same time, India, Brazil, and Argentina gained market access and increased their exports to the Chinese market.

In addition to the anticipated growth in Brazilian peanut exports to the PRC, demand from the European Union is also expected to rise during MY 2026/27, further supported by the EU-Mercosur Free Trade Agreement.

Peanut Oil Exports

Despite recent price volatility, export prospects for MY 2026/27 remain positive. Post forecasts Brazil's peanut oil exports to reach 185 thousand MT, a 2.7 percent increase compared to the current season's estimate. A growth primarily supported by steady international demand, although structural challenges persist, including the limited modernization of crushing and refining facilities, despite recent investments in the sector.

Brazil remains one of the world's leading exporters of peanut oil, particularly supplying the food processing and pharmaceutical industries in Asia and Europe. Export performance strengthened in recent years due to expanding peanut production in Mato Grosso do Sul and growing international demand for alternative vegetable oils.

In 2025, Brazilian peanut oil exports surged to approximately 173 thousand MT, nearly tripling the volume shipped in 2024, driven largely by strong demand from the PRC and improved availability of raw peanuts for crushing. The PRC remained the dominant destination, accounting for over 87 percent of Brazil's peanut oil exports, reflecting the country's large vegetable oil deficit and continued diversification of edible oil imports.

Favorable exchange rates and competitive pricing relative to other specialty oils have supported Brazil's position in the market in recent years. However, global peanut oil prices weakened during parts of 2024 and 2025 amid expectations of higher production in Asia, particularly in India and China, which influenced international price movements and reduced export margins for Brazilian suppliers.

Peanut Meal Exports

Post forecasts Brazil's peanut meal exports to reach 5 thousand MT in MY 2026/27. Although a relatively small volume, it is significant, with the PRC recently surging as a destination and potentially changing the peanut meal market dynamics in Brazil.

Brazil is largely self-sufficient in peanut meal, consuming nearly its entire production each year, with no imports reported. Historically, exports are minimal. However, following agreements signed between Brazil's Ministry of Agriculture and the PRC in 2025, the Chinese market recently opened to Brazilian peanut meal during a Brazilian presidential visit to Beijing. The new authorizations allow exports of a variety of products, including corn-ethanol byproducts (DDG/DDGS) and peanut meal.

The two countries also signed a memorandum of understanding on sanitary and phytosanitary cooperation to strengthen food safety and facilitate agricultural trade. This measure is expected to expand trade opportunities and reflects growing confidence and cooperation between the two nations.

In 2025, Brazil exported a total of 240 MT of peanut meal. By January 2026, exports already reached 250 MT to just to the PRC alone, demonstrating the immediate trade potential created by the recently signed agreement.

Oilseed, Peanut	2024/2025		2025/2026		2026/2027
Market Year Begins	Jan 2025		Jan 2026		Jan 2027
Brazil	USDA Official	New Post	USDA Official	New Post	New Post
Area Planted (1000 HA)	280	280	280	260	270
Area Harvested (1000 HA)	280	280	280	260	270
Beginning Stocks (1000 MT)	44	44	87	87	35
Production (1000 MT)	1160	1160	1150	1080	1140
MY Imports (1000 MT)	3	3	5	5	6
Total Supply (1000 MT)	1207	1207	1242	1172	1181
MY Exports (1000 MT)	430	430	520	455	460
Crush (1000 MT)	550	550	500	550	555
Food Use Dom. Cons. (1000 MT)	110	110	110	112	114
Feed Waste Dom. Cons. (1000 MT)	30	30	30	20	20
Total Dom. Cons. (1000 MT)	690	690	640	682	689
Ending Stocks (1000 MT)	87	87	82	35	32
Total Distribution (1000 MT)	1207	1207	1242	1172	1181
Yield (MT/HA)	4.1429	4.1429	4.1071	4.1538	4.2222
(1000 HA) ,(1000 MT) ,(MT/HA)					
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query					

Oil, Peanut	2024/2025		2025/2026		2026/2027
Market Year Begins	Jan 2025		Jan 2026		Jan 2027
Brazil	USDA Official	New Post	USDA Official	New Post	New Post
Crush (1000 MT)	550	550	500	550	555
Extr. Rate, 999.9999 (PERCENT)	0.36	0.36	0.36	0.3636	0.3694
Beginning Stocks (1000 MT)	42	42	52	52	55
Production (1000 MT)	198	198	180	200	205
MY Imports (1000 MT)	0	0	0	0	0
Total Supply (1000 MT)	240	240	232	252	260
MY Exports (1000 MT)	173	173	170	180	185
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	15	15	15	17	17
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0
Total Dom. Cons. (1000 MT)	15	15	15	17	17
Ending Stocks (1000 MT)	52	52	47	55	58
Total Distribution (1000 MT)	240	240	232	252	260
(1000 MT) ,(PERCENT)					
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query					

Meal, Peanut	2024/2025		2025/2026		2026/2027
Market Year Begins	Jan 2025		Jan 2026		Jan 2027
Brazil	USDA Official	New Post	USDA Official	New Post	New Post
Crush (1000 MT)	550	550	500	550	555
Extr. Rate, 999.9999 (PERCENT)	0.4164	0.4164	0.416	0.4182	0.4234
Beginning Stocks (1000 MT)	0	0	0	0	0
Production (1000 MT)	229	229	208	230	235
MY Imports (1000 MT)	0	0	0	0	0
Total Supply (1000 MT)	229	229	208	230	235
MY Exports (1000 MT)	0	0	0	3	5
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	229	229	208	227	230
Total Dom. Cons. (1000 MT)	229	229	208	227	230
Ending Stocks (1000 MT)	0	0	0	0	0
Total Distribution (1000 MT)	229	229	208	230	235
(1000 MT) ,(PERCENT)					
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query					

COTTONSEED SECTOR

Area, Production & Yield

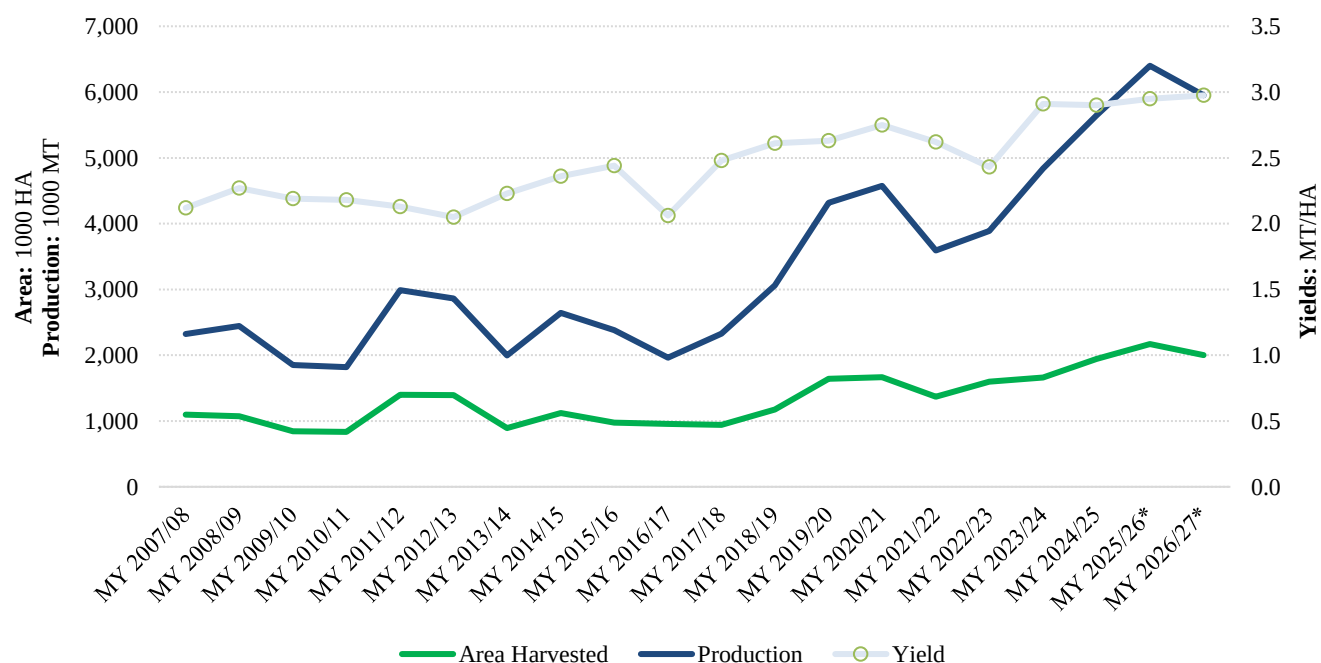
Higher Production Costs Lead Producers to Reduce Area to Mitigate Risks

Post forecasts cottonseed production for MY 2026/27 at 5.9 MMT, a seven percent decrease compared to the MY 2025/26 estimate of 6.4 MMT. This reduction is primarily driven by a 7.8 percent decline in total cotton planted area, which is forecast at 2.0 million HA for MY 2026/27.

Productivity levels are projected to remain relatively stable, with the average yield forecast at 2.9 MT/HA. This stability reflects the consolidation of highly productive producers who remain in the sector, largely due to the significant infrastructure investments already made on their farms. Meanwhile, producers who entered the cotton industry more recently and have not yet made substantial investments to improve productivity are reportedly shifting away from cotton for the upcoming season.

Figure 16

Evolution of Cottonseed Planted Area, Production and Yield in Brazil (2007/08– 2026/27)



Source: USDA Foreign Agricultural Service (FAS). Chart generated by Post Brasilia - Office of Agricultural Affairs (OAA)| Note: Data for the latest MY, marked with (*), considers Post's estimates and forecasts.

Several factors have contributed to the projected reduction in planted area. First, production costs have increased by an average of 11.2 percent compared to the previous season, while prices have simultaneously declined by approximately six percent, significantly pressuring producers' margins.

Second, cotton is considered a risky and sensitive crop due to its substantial pest control requirements, strong dependence on weather conditions, and volatile global market prices. Producers must invest heavily in infrastructure, seeds, fertilizers, pesticides, machinery, and labor, which increases financial exposure if yields or prices fall.

In addition, cotton prices fluctuate widely because the commodity is globally traded and strongly influenced by textile demand, where it directly competes with synthetic fibers. Quality factors such as fiber length, strength, color, and cleanliness further affect the price farmers receive, meaning that weather events or pest damage can reduce profitability even when production volumes remain high.

Together, these variables increase the risks associated with cotton production. Meanwhile, improved corn prices and a smaller increase in corn production costs, especially in Mato Grosso where cotton and second-crop corn (*safrinha*) compete for acreage, are influencing planting decisions. As a result, some farmers are expected to expand corn area at the expense of cotton in the upcoming season.

Figure 17

Evolution of International Corn (CBOT) and Cotton (ICE) Prices (Jan 2021 – Feb 2026)



Source: Center for Advanced Studies on Applied Economics (CEPEA) data | Chart elaborated by Post Brasilia - Office of Agricultural Affairs (OAA).

In summary, Brazil's cotton sector is shifting from the record-breaking expansion observed over the previous two seasons toward a more conservative stance in the MY 2026/27 cycle due to the following factors:

- **Global Oversupply:** Brazil's record production in 2024 and 2025 contributed to a global surplus, keeping international cotton futures (ICE) under pressure.
- **High Input Costs:** The cost of specialized machinery and fertilizers remains high, disincentivizing new players from entering the market.
- **Storage & Logistics:** Record ending stocks in early 2026 (projected to reach over 4.9 million bales or 1 MMT) have created logistical bottlenecks, leading farmers to prioritize crop rotation over further cotton expansion.

The byproducts of cotton processing also represent an important source of value and are not discarded. Once cotton lint is removed, cottonseed can be crushed similarly to other oilseeds, producing cottonseed oil and cottonseed meal. Cottonseed oil is the higher-value product and is used for cooking oil, food processing, and increasingly for biofuel production, while cottonseed meal is primarily utilized in animal feed, providing protein, fiber, and bulk for cattle and other livestock rations.

In Mato Grosso, the country's leading cotton-producing state, cotton byproducts continue to contribute to producer revenues and local feed markets. According to the Mato Grosso Institute of Agricultural Economics (IMEA), cottonseed meal and cottonseed cake remain widely used as protein sources in livestock rations, while cottonseed oil continues to hold value in both the food and energy sectors.

Despite the anticipated reduction in cotton area for the 2025/26 season and early projections for the MY 2026/27 marketing year, the processing of cottonseed ensures that the crop generates multiple revenue streams beyond lint production. Prices for cottonseed byproducts are expected to remain closely linked to demand from Brazil's livestock sector and the broader vegetable oil market, while overall supply will largely follow fluctuations in national cotton production.

Oilseed, Cottonseed	2024/2025		2025/2026		2026/2027
Market Year Begins	Jan 2025		Jan 2026		Jan 2027
Brazil	USDA Official	New Post	USDA Official	New Post	New Post
Area Planted (Cotton) (1000 HA)	1970	1945	2170	2170	2000
Area Harvested (Cotton) (1000 HA)	1945	1945	2170	2170	2000
Seed to Lint Ratio (RATIO)	0	0	0	0	0
Beginning Stocks (1000 MT)	164	164	271	271	361
Production (1000 MT)	5644	5644	6474	6400	5950
MY Imports (1000 MT)	1	1	0	0	0
Total Supply (1000 MT)	5809	5809	6745	6671	6311
MY Exports (1000 MT)	13	13	100	20	50
Crush (1000 MT)	5025	5025	5650	5650	5610
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	500	500	600	640	510
Total Dom. Cons. (1000 MT)	5525	5525	6250	6290	6120
Ending Stocks (1000 MT)	271	271	395	361	141
Total Distribution (1000 MT)	5809	5809	6745	6671	6311
Yield (MT/HA)	2.9018	2.9018	2.9834	2.9493	2.975
(1000 HA) ,(RATIO) ,(1000 MT) ,(MT/HA)					
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query					

Oil, Cottonseed	2024/2025		2025/2026		2026/2027
Market Year Begins	Jan 2025		Jan 2026		Jan 2027
Brazil	USDA Official	New Post	USDA Official	New Post	New Post
Crush (1000 MT)	5025	5025	5650	5650	5610
Extr. Rate, 999.9999 (PERCENT)	0.1602	0.1602	0.1559	0.1593	0.1524
Beginning Stocks (1000 MT)	38	38	52	52	44
Production (1000 MT)	805	805	881	900	855
MY Imports (1000 MT)	7	7	5	0	0
Total Supply (1000 MT)	850	850	938	952	899
MY Exports (1000 MT)	3	3	10	9	0
Industrial Dom. Cons. (1000 MT)	515	515	550	584	560
Food Use Dom. Cons. (1000 MT)	280	280	315	315	310
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0
Total Dom. Cons. (1000 MT)	795	795	865	899	870
Ending Stocks (1000 MT)	52	52	63	44	29
Total Distribution (1000 MT)	850	850	938	952	899
(1000 MT) ,(PERCENT)					
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query					

Meal, Cottonseed	2024/2025		2025/2026		2026/2027
Market Year Begins	Jan 2025		Jan 2026		Jan 2027
Brazil	USDA Official	New Post	USDA Official	New Post	New Post
Crush (1000 MT)	5025	5025	5650	5650	5610
Extr. Rate, 999.9999 (PERCENT)	0.4776	0.4776	0.4634	0.4779	0.4635
Beginning Stocks (1000 MT)	15	15	15	15	15
Production (1000 MT)	2400	2400	2618	2700	2600
MY Imports (1000 MT)	0	0	0	0	0
Total Supply (1000 MT)	2415	2415	2633	2715	2615
MY Exports (1000 MT)	0	0	0	0	0
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	2400	2400	2575	2700	2600
Total Dom. Cons. (1000 MT)	2400	2400	2575	2700	2600
Ending Stocks (1000 MT)	15	15	58	15	15
Total Distribution (1000 MT)	2415	2415	2633	2715	2615
(1000 MT) ,(PERCENT)					
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query					

PALM OIL SECTOR

Area, Production & Yield

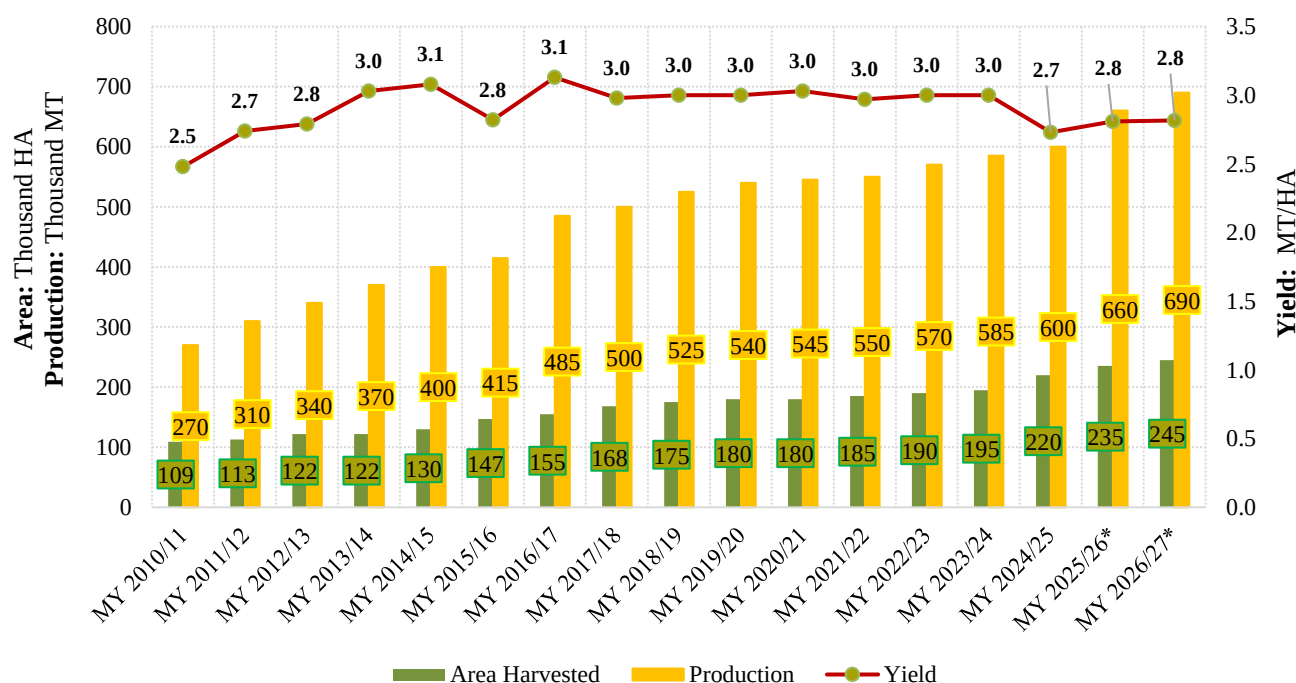
The palm oil sector in Brazil gained significant visibility in 2025, largely due to its expansion potential and socio-economic impact in developing regions of the country, particularly in the Amazon.

Post forecasts Brazil's total harvested palm oil area at 245 thousand HA in MY 2026/27, an expansion of 4.2 percent compared to the current season's estimate of 235 thousand HA. This growth is considered moderate by the sector and is mainly driven by domestic demand from the food, cosmetics, and biofuels industries, while constrained by current interest rate levels and rising operational costs.

Financial constraints have a greater impact on future area expansion than on current productivity, as cost reductions are often first implemented at the nursery stage. This can impact plant development and delay maturity, since palm oil production requires significant inputs and monitoring during its early stages, before trees are planted in the field and reach the harvesting phase.

Figure 18

Evolution of Palm Oil Area, Production and Yield in Brazil (MY 2010/11 – MY 2026/27)*



Source: FAS. Chart generated by Post Brasilia (Office of Agricultural Affairs – OAA). Note: Data for the latest MY, marked with (*), considers Post's estimates and forecasts.

Brazil's palm oil production is forecasted at 690 thousand MT in MY 2026/27, 4.5 percent higher than the current year estimates. Financial constraints may limit daily harvesting activities and reduce spending on labor, fuel, machinery, and other essential inputs, which could affect overall yields. However, Post expects production in MY 2026/27 to reach an average national yield of 2.8 MT/HA. This is unchanged from the current season's estimate but 3.7 percent higher than the MY 2024/25 season, which was marked by unstable climate conditions in several key producing regions.

Brazil's Palm Oil Sector Gains Spotlight Through COP30 and Major Industry Acquisition

During the recent 2025 United Nations Climate Change Conference (COP30) in Belém, Brazil, the palm oil sector gained significant visibility and became a focal point for discussions on the future of the industry in the country. These discussions highlighted a promising outlook for palm oil, both for the domestic market and for potential international expansion.

According to research published by Dendê do Pará S/A, the sector could expand by an average of 25 thousand HA per year, reaching 350 thousand HA by 2030 and potentially achieving an annual production level of 1.2 MMT of palm oil.

To support the projected growth, industry stakeholders emphasize the need for land-tenure regularization, targeted subsidies, and projects that integrate family farming into the production chain. These measures are viewed as essential for ensuring the sector's long-term development and stability. Expanded access to dedicated credit lines is also considered critical given the long production cycle of oil palm, which typically requires up to five years to reach full productivity and generate expected returns on investment.

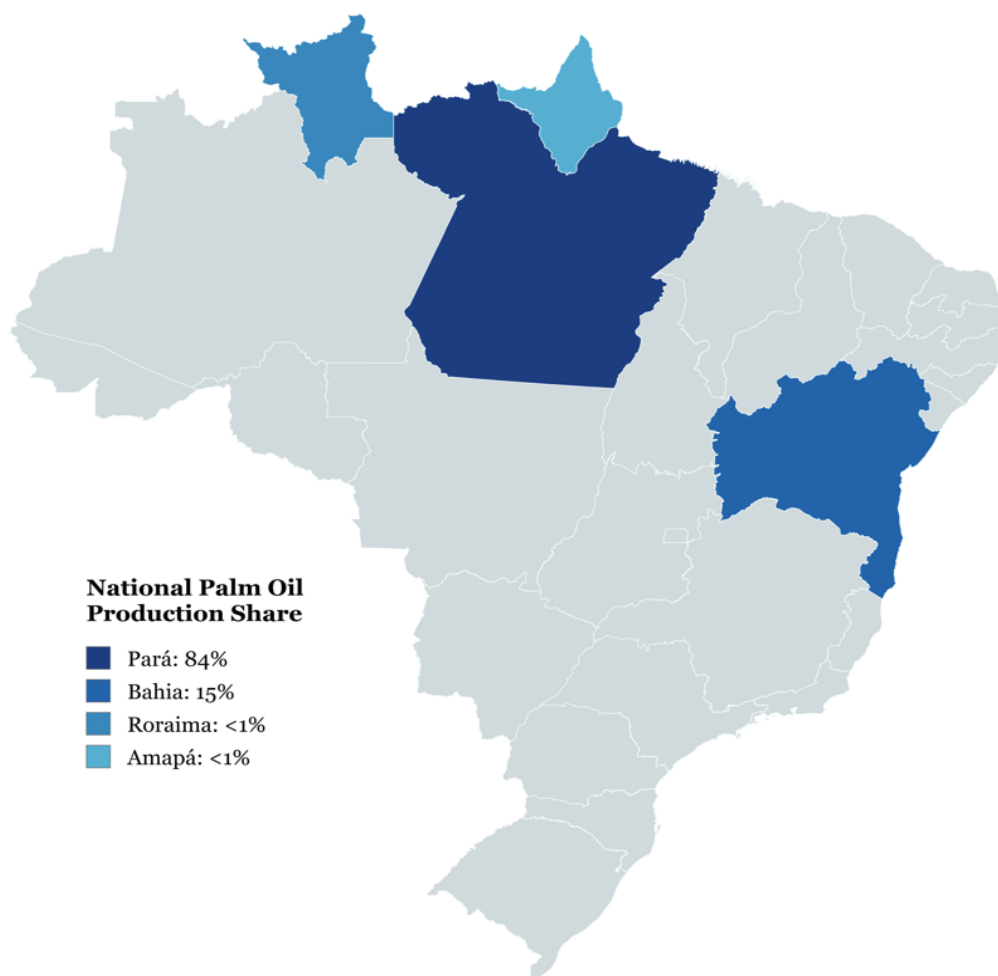
The potential of Brazil's palm oil sector has already attracted attention from both national and international investors. Earlier this month, the Colombian agribusiness group Daabon Group announced the acquisition of the Brazilian palm oil operations of Agropalma in the state of Pará. The transaction includes a palm oil refinery near Belém, six extraction plants, and approximately 107 thousand hectares of land, of which more than 40 thousand hectares are suitable for oil palm cultivation.

According to Post contacts, the acquisition represents a strategic expansion for Daabon in Brazil's palm oil sector and is expected to strengthen production capacity while paving the way for future investments and further development of the industry in the country.

Palm oil cultivation in Brazil is concentrated primarily in the Amazon region. The state of Pará is the country's leading producer, accounting for more than 85 percent of national production, followed by the states of Bahia, Roraima, and Amapá.

Figure 19

National Palm Oil Production Share per Producing State in Brazil



Source: USDA Foreign Agricultural Service (FAS) | Chart elaborated by Post Brasilia (Office of Agricultural Affairs – OAA)

On May 7, 2010, the Government of Brazil approved Decree No. 7,172/2010, which established guidelines for sustainable palm oil cultivation in the country. The decree is part of the Sustainable Palm Oil Production Program (PSOP) and mandates that new oil palm plantations can only be established on already degraded lands, specifically areas degraded prior to 2008. The policy aims to prevent deforestation in the Amazon rainforest while promoting sustainable agricultural development. Producers must comply with these guidelines to access government incentives and to qualify for sustainability certifications such as RSPO (Roundtable on Sustainable Palm Oil).

According to a study conducted by MapBiomas and published in August 2025, Brazil has experienced substantial land conversion over the past four decades. Between 1985 and 2024, the country lost 111.7 million HA of natural vegetation, equivalent to about 13 percent of its territory and an area larger than Bolivia.

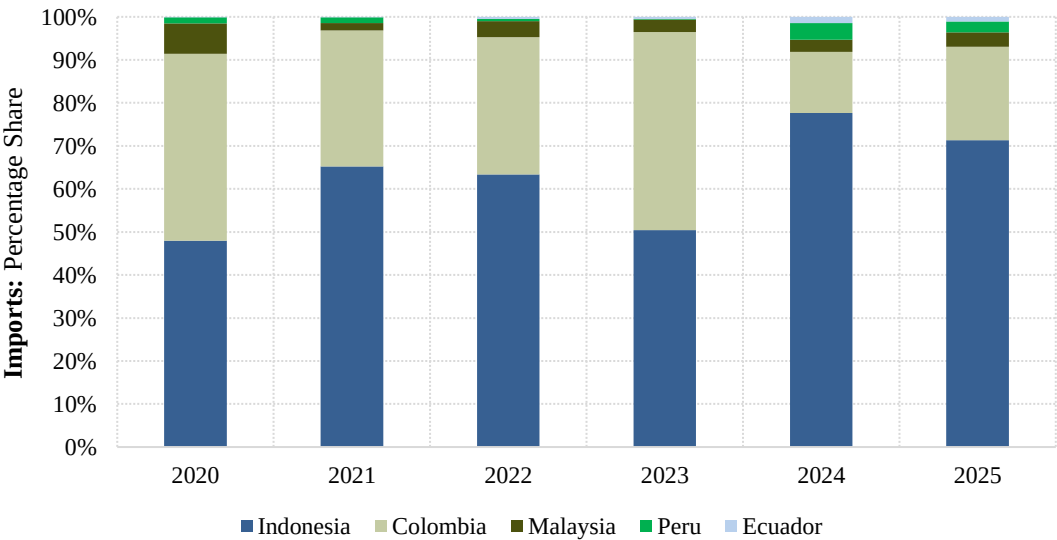
A significant share of converted areas is currently used as pastureland, much of which is considered degraded or underutilized and is therefore often cited as a potential source of land for new crops without further deforestation. Researchers and policymakers frequently highlight this as a key opportunity for sustainable agricultural expansion, particularly when integrated with agroforestry systems involving palm oil trees.

Palm Oil Trade

Brazil is a net importer of palm oil, consuming nearly its entire domestic production each year, with only small export volumes reported, typically driven by logistical factors and short-term demand from neighboring countries such as Uruguay, Argentina, and Paraguay.

Post forecasts that in MY 2026/27 Brazil will import 365 thousand MT of palm oil, a modest increase of 1.3 percent compared to MY 2025/26 estimates. This growth is driven by steady demand from the food, cosmetics, and biofuel sectors in Brazil. Indonesia is expected to remain the primary supplier of palm oil imports. However, an increase in imports from Colombia is anticipated, supported by strong trade relations between the two South American countries and the growing presence of Colombian companies in Brazil’s palm oil industry.

Figure 20
Origin of Palm Oil Imports



Source: Brazil Ministry of Development, Industry and Trade | Chart elaborated by Post Brasilia Office of Agricultural Affairs (OAA).

In 2025, Brazil imported a total of 355 thousand MT of palm oil, unchanged from the previous year., However, imports from Indonesia decreased by 10 percent, while increase imports from Colombia increased more than 53 percent.

Oil, Palm	2024/2025		2025/2026		2026/2027
Market Year Begins	Jan 2025		Jan 2026		Jan 2027
Brazil	USDA Official	New Post	USDA Official	New Post	New Post
Area Planted (1000 HA)	220	220	230	235	245
Area Harvested (1000 HA)	220	220	230	235	245
Trees (1000 TREES)	0	0	0	0	0
Beginning Stocks (1000 MT)	39	39	38	38	57
Production (1000 MT)	600	600	650	660	690
MY Imports (1000 MT)	355	355	360	360	365
Total Supply (1000 MT)	994	994	1048	1058	1112
MY Exports (1000 MT)	6	6	10	11	11
Industrial Dom. Cons. (1000 MT)	765	765	800	800	850
Food Use Dom. Cons. (1000 MT)	185	185	190	190	200
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0
Total Dom. Cons. (1000 MT)	950	950	990	990	1050
Ending Stocks (1000 MT)	38	38	48	57	51
Total Distribution (1000 MT)	994	994	1048	1058	1112
Yield (MT/HA)	2.7273	2.7273	2.8261	2.8085	2.8163
(1000 HA) ,(1000 TREES) ,(1000 MT) ,(MT/HA)					
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query					

Attachments:

No Attachments